

Tesla Inc

Lower Estimates on Large Margin Miss with Investments Ramping; FSD Subscriptions Rising and Robotaxi on Track, That Should Drive Positive Feedback Loops and Eventual EPS Inflection

TSLA's 2Q26 results came in well below both JPMe and company-compiled consensus on EBIT and EPS (Table 1), largely driven by softer than anticipated gross margins, with the shortfall driven by a combination of lower regulatory credits, rising interest rate subvention costs, warranty headwinds in ESS, and commodity cost headwinds. Underlying automotive gross margins ex-regulatory credits were flat q/q when adjusting for one-time items in 1Q related to warranty and tariff relief, helping alleviate concerns that recent volume strength ([see here for our take on 2Q deliveries](#)) was purely incentive-driven. FSD is increasingly becoming a key purchase consideration (subscriptions +15% q/q), a dynamic we have consistently highlighted as fueling positive feedback loops for both sales and ongoing autonomous technology improvement. Robotaxi operations continue to scale, with recent expansions into Orlando and Tampa, and management provided greater clarity around TSLA's approach, prioritizing miles over vehicles, while remaining measured given the regulatory and media spotlight, as well as the ongoing validation of cybercab and the pending release of FSD v15 ([see our recent robotaxi deep-dive](#)) - the key takeaway is that unsupervised robotaxi miles are ramping (up 10% w/w since Jan 2026), with the safety record to date remaining solid. Elsewhere, a key highlight was strength in service margins and related profit growth, which we expect to see continued tailwinds as FSD subscriptions rise, coupled with infrastructure leverage. Optimus supply chain ramp is progressing as SoP approaches, though management cautioned that the S-curve ramp will be relatively more protracted and flat initially, a function of the near-total novelty of the componentry and the absence of any incumbent supply chain. The energy storage segment is increasingly being positioned to capture data center and broader electrification demand and backlog remains strong, though with an increasingly crowded industrial storage landscape, long-term gross margin targets continue to be revised down, now expected in the low to mid 20s. Capital spending remains elevated, with management reiterating a \$25 bn+ capex target for 2026 (~\$8.2 bn YTD), and the return profile is expected to be non-linear as vertical integration and compute infrastructure investments begin to yield results. Finally, on the topic of potential merger with SPCX ([click here for our prior thoughts](#)), CEO Musk stopped short of explicit comments though clearly laid out strategic overlap between the two companies. **Net-net, we believe TSLA shares are likely to remain range-bound near-term as forward estimate revisions continue to find a bottom as investments ramp, though we continue to see downside support as broader robotaxi rollout nears, Cybercab production ramps, and automotive volume shows signs of sustained re-acceleration, keeping the eventual EPS inflection and SoTP unlock potential intact.**

- **Estimate changes (Table 10).** We lower our 2026/2027 EPS forecasts to \$1.60/\$1.70 vs. \$2.15/\$2.20 prior (consensus \$1.99/\$2.49), primarily driven by softer automotive gross margin assumptions and higher opex. Our 2030 EPS forecast, off of which we base our P/E based valuation (~50% component of our overall valuation methodology with the remaining ~50% being a SoTP based), similarly moves lower to \$6.60 from \$7.50 prior, and our Dec 2027

Neutral

TSLA, TSLA US

Price (22 Jul 26):\$374.01

▼ Price Target (Dec-27):\$445.00

Prior (Dec-27):\$475.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	2.15	1.60	-25.4%
Adj. EPS - 27E (\$)	2.20	1.70	-22.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.27	0.41A	0.28
Q2	0.40	0.33A	0.43
Q3	0.50	0.49	0.53
Q4	0.50	0.38	0.45
FY	1.66	1.60	1.70

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	96	96	94	92	91
Growth	70	65	18	48	43
Momentum	53	35	73	19	79
Quality	39	66	32	9	38
Low Vol	67	80	85	78	70
ESGQ	37	30	90	10	31

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 35 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-16.8%	-7.7%	-3.5%	12.6%
Rel	-36.1%	-6.2%	-9.8%	-19.0%

Company Data

Shares O/S (mn)	3,756
52-week range (\$)	498.83-297.82
Market cap (\$ mn)	1,404,678.00
Exchange rate	1.00
Free float (%)	88.9%
3M ADV (mn)	48.65
3M ADV (\$ mn)	19,622.7
Volatility (90 Day)	48
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	29 25 9

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	94,827	109,825	123,319	145,106
Adj. EBITDA	10,503	9,063	10,751	15,971
Adj. EBIT	4,355	2,254	2,551	6,671
Adj. net income	5,858	5,694	6,184	9,097
Net margin	6.2%	5.2%	5.0%	6.3%
Adj. EPS	1.66	1.60	1.70	2.45
BBG EPS	1.61	1.98	2.51	3.46
Cashflow from operations	14,747	13,055	12,568	16,630
FCFF	7,200	(9,223)	(11,000)	(8,310)
Margins and Growth				
Revenue Growth Y/Y (%)	(2.9%)	15.8%	12.3%	17.7%
EBITDA margin	11.1%	8.3%	8.7%	11.0%
EBITDA Growth Y/Y (%)	(15.6%)	(13.7%)	18.6%	48.6%
EBIT margin	4.6%	2.1%	2.1%	4.6%
Adj. EPS growth	NM	NM	6.1%	43.9%
Ratios				
Adj. tax rate	27.0%	23.1%	25.5%	25.2%
Interest cover	-	-	-	-
Net debt/Equity	NM	0.0	0.1	0.2
Net debt/EBITDA	NM	0.3	1.3	1.4
ROCE	3.7%	1.8%	1.6%	3.6%
ROE	7.5%	6.6%	6.6%	8.9%
Valuation				
FCFF yield	0.5%	(0.7%)	(0.8%)	(0.6%)
Dividend yield	-	-	-	-
EV/EBITDA	132.8	155.3	132.0	89.4
EV/Revenue	14.7	12.8	11.5	9.8
Adj. P/E	225.1	233.2	219.9	152.8

Summary Investment Thesis and Valuation

Investment Thesis

TSLA sits at the forefront of physical AI entering uncharted TAMs where execution will be key to accelerating adoption and expanding those TAMs (the Jevons paradox). Its under-appreciated edge is deep vertical integration across hardware + software, paired with speed of technology development: using factories as a test bed for Optimus should lower auto COGS and validate Humanoids at industrial scale (US/Global TAM of ~5 mn/30 mn by 2040E), a flywheel analogous to AWS/Kiva at AMZN. In robotaxi, >10 bn miles recorded and 9 mn personal fleet on road today should drive network-effects across robotaxi and FSD adoption (35 mn personal TSLA fleet and 40 mn robotaxis by 2040E), while Energy Storage benefits from data center and grid tailwinds, and the base infrastructure can be monetized via FSD/Optimus licensing, distributed inference, Cortex compute, and supercharger usage. We see EPS inflection in 2028+ and a 50%+ growth CAGR through 2030 and beyond, with implied SoTP of \$3.9T by 2035E. Valuation on near-term earnings is clearly lofty, but we think TSLA deserves the benefit of the doubt on LT earnings given new TAMs are unlikely to inflect until 2029+, with shares in the interim likely tied to robotaxi/Optimus data points and potential index diversification offering a better entry point, in our view.

Valuation

We rate TSLA shares Neutral with a \$445 December 2027 price target.

Performance Drivers

Market	34%
Sector	24%
Macro	1%
Style	1%
Idiosyn.	40%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.59	0.58
Sect: Cons Discretionary	0.48	0.61
Ind: Automobiles & Comp	0.99	1.00
Macro:		
US 10yr yield	-0.04	-0.20
Economic Surprise	-0.21	0.16
US Dollar	-0.19	0.10
Quant Styles:		
LowVol	-0.49	-0.24
Value	-0.21	-0.14
DivYld	-0.26	-0.14

price target relatedly moves lower to \$445 from \$475 prior.

- **2Q26 results summary (Table 1).** Overall 2Q26 revenue was \$28.2 bn vs. JPMe/company-compiled consensus \$28.2/\$27.6 bn, with automotive revenue of \$20.5 bn vs. JPMe \$20.4 bn. Blended automotive ASPs tracked \$41.6K, ~1% below JPMe of \$42.2K. Service revenue was \$4.6 bn vs. JPMe \$4.1 bn, while Solar & Energy Storage revenue were \$3.1 bn vs. JPMe \$3.7 bn. Automotive regulatory credits related revenue was \$146 mn vs. JPMe \$325 mn. Non-GAAP automotive gross margins tracked 18.1% (16.3% ex-regulatory credits) vs. JPMe 21.6% (19.5% ex-regulatory credits). Overall EBIT tracked at \$398 mn vs. JPMe \$1,619 mn and consensus for \$1,503 mn. EPS was \$0.33 vs. JPMe/consensus \$0.60/\$0.55.
- **Robotaxi scaling tracking well ahead of fleet size, with a clean safety record to date.** TSLA reported >380K cumulative unsupervised robotaxi miles across six cities and two states with zero notable incidents to date, which management frames as validation of its camera-only stack that forgoes lidar, radar, and HD maps. Unsupervised miles are compounding >10% w/w since Jan 2026, with the focus on mileage rather than vehicle count reflecting near-continuous fleet utilization that generates substantial miles even off a modest base. The city-by-city expansion, now across seven US metros, is a deliberate choice to prove stack generality across varied environments and clear fragmented state and local requirements rather than a capacity constraint, with time-to-launch per new city trending lower and an eventual shift to state-wide operation roll-outs over time. Cybercab entered production at Gigafactory Texas, with an installed capacity of >125K units/year (~25x Zoox's capacity and ~3-5x higher than Waymo), though near-term fleet counts remains suppressed as the new chassis first accumulates its own calibration miles via retrofitted units. The fleet already runs an early V15 build, shared across Model Y and Cybercab, and management flagged no imminent federal regulatory unlock is required, characterizing the NHTSA relationship as constructive. The binding constraint on scaling is reliability rather than demand or regulation, reinforced by the company's deliberately cautious pace given the outsized regulatory and media scrutiny a single incident would attract.
- **No explicit comment on a SPCX combination, but strategic overlaps were clearly laid out.** TSLA sidestepped directly commenting on a potential merger with TSLA, citing the need for a proper process, yet pointed to a widening set of ties that collectively sketch the case for closer integration, spanning the existing equity stake and framework agreement, Grok orchestrating digital Optimus and embedded in vehicles, Starlink embedding into Cybercab and eventually the broader fleet to guarantee connectivity for autonomous operation, and growing overlap on the chip fabrication initiatives. We had previously outlined our puts and takes around a potential combination ([click here](#) for our detailed thoughts), and we see TSLA's caution on robotaxi-related media and regulatory scrutiny underscoring another incremental risk, primarily reputational but potentially financial, that could span a wider organization were a combination to materialize.
- **FSD increasingly provid to be a demand engine; Gross margin drag a function of lower regulatory credits, rates and non-repeat of 1Q tailwinds and ongoing commodity inflation.** TSLA observed demand resurgence in 2Q (total deliveries up +25% y/y, see our [initial take](#)) led by FSD, which is increasingly becoming a primary factor in the purchase consideration process and points to repeatable demand uplift in other markets as the technology gains regulatory approval. On gross margins (automotive gross margins ex-regulatory credits tracked 16.3% vs. JPMe 19.5%), which were a key driver of the 2Q miss, management noted that automotive gross margins ex-regulatory credits tracked flat q/q, when adjusting for non-recurring warranty true-downs (~\$230 mn) and tariff benefits in 1Q, indicating pricing and cost discipline. Besides this, gross margins also reflected a growing drag from interest rate subvention costs (as interest rates moved higher q/q in 2Q) and commodity inflation. All-in, demand remains robust, with TSLA's order backlog scaling to its highest level since 2023, and TSLA is ramping up

production to meet stronger demand.

- **FSD attach rates ramp to 55% in North America.** FSD revenue split is ~55%/45% upfront purchases/subscriptions, albeit the cessation of upfront purchase option earlier this year continues to drive a higher mix towards a recurring base of subscription revenue. Attach rates remain strong, tracking at ~55% in North America and trending upwards (vs. ~30-35% penetration management indicated as a reasonable ballpark at the time of 1Q earnings). Notably, active FSD subscriptions tracked higher to ~1.5 mn users, up from ~1.3 mn in 1Q, and with just ~31 mn miles coming from new European FSD markets, there appears to be a clear acceleration in FSD miles driven per subscriber, indicating improved reliability and functionality. For context, ~500 mn cumulative FSD miles were added between early March through early April, indicating ~390 incremental monthly miles/subscriber (using the 1Q subscriber base), whereas between late June and late July, FSD miles scaled by ~800 mn, indicating ~540 incremental monthly miles/subscriber. Lastly, TSLA also sees FSD extending to the Semi by 2026-end/early-2027.
- **\$25 bn+ 2026 capex guidance reiterated.** FCF was an outflow of -\$1.1 bn, with capex tracking at \$5.8 bn (up ~132% q/q, ~\$8.2 bn YTD) and TSLA reiterated 2026 capex of \$25 bn+ with continued growth expected over the next 2-3 years across the robotaxi fleet, Optimus, semiconductor fab, solar, and AI compute. Notably, TSLA is opportunistically securing debt facilities providing up to \$30 bn of incremental borrowing capacity to fund investments.
- **Optimus progress continues with Fremont line installation underway.** TSLA reiterated the anticipated S-curve for Optimus production, which is expected to be relatively more protracted and flat initially, a function of the near-total novelty of the componentry and the absence of any incumbent supply chain, that has compelled extensive in-housing at the Fremont line that replaced the decommissioned Model S/X capacity. The early builds are earmarked for the Optimus Academy, where they seed a two-stage data flywheel entailing factory workers and a dedicated demonstration team supplying high-quality training data atop internet-scale video, followed by reinforcement learning as the fleet practices tasks to convergence. Regarding the supply chain, a substantial mix of specialized power electronics for the Gen 3 are designed in-house but fabricated externally, whereas the Austin-built Gen 4 humanoids are expected to be more vertically integrated. TSLA emphasized that suppliers are investing alongside the company to develop the domestic humanoid supply chain, specifically highlighting Samsung, TSMC and Panasonic.
- **Energy storage gross margins normalize lower.** Energy storage deployment strength (13.5 GWh in 2Q, +41% y/y) was attributed to a mix of timing impact related to customer deployment timelines as well as solid EMEA deployment trends, supported by Megafactory Shanghai ramp, with Megapack 3 production expected to start soon at the new Texas Megafactory. Energy storage gross margins moderated to ~20.4% from 39.5% in 1Q, which TSLA attributed to a ~\$240 mn vendor battery cell warranty true-up on legacy deployments, the non-recurrence of ~\$200 mn in 1Q tariff benefits, and industrial-storage ASP erosion as competition builds, with the segment guided to a normalized mid-to-low 20% gross margin range. TSLA increasingly ties storage demand to AI data centers, spanning grid balancing and the smoothing of sharp training-run power swings that require fast-acting power electronics.

Table 1: TSLA 2Q26 Actuals vs. JPMe (adjusted for one-timers)

\$ mn unless otherwise highlighted

	Actual 2Q26	JPMe 2Q26E	Actual vs. JPMe % diff	Consensus 2Q26E	Actual vs. Consensus % diff
KPIs					
Model 3/Y	467,762				
Others	12,364				
Vehicle Deliveries (units)	480,126				
Automotive ASP (\$/unit, ex-leasing revenue)	\$41,628	\$42,194	-1%		
FSD Subscriptions (mn)	1.5				
Storage Deployed (GWh)	13.5				
Automotive Regulatory Credits Revenue (\$ mn)	146	325	-55%		
Non-GAAP Automotive Gross Margins	18.1%	21.6%	-349bps		
Non-GAAP Automotive Gross Margins Ex-Regulatory Credits	16.3%	19.5%	-323bps		
PnL					
Automotive Revenues	20,516	20,419	0%	20,048	2%
Service Revenues	4,581	4,051	13%	3,773	21%
<u>Solar and Energy Storage Revenues</u>	<u>3,139</u>	<u>3,726</u>	-16%	<u>3,763</u>	-17%
Total Revenues	28,236	28,196	0%	27,584	2%
Total Gross Profit	4,751	5,769	-18%	5,378	-12%
Gross Margin	16.8%	20.5%	-364bps	19.5%	-267bps
Research and Development	2,371	2,150	10%		
SG&A	1,982	2,000	-1%		
Operating income/(loss)	398	1,619	-75%	1,503	-74%
Total EBIT Margin	1.4%	5.7%	-433bps	5.4%	-404bps
Interest Income/(expense)	341	309	10%		
<u>Other (loss)/gain</u>	<u>590</u>	<u>0</u>	NM		
Pre-tax Income/(loss)	1,329	1,928	-31%	1,738	-24%
Non-GAAP Net Income	1,155	2,172	-47%	1,966	-41%
Weighted average number of shares - Diluted	3,540	3,609	-2%	3,574	-1%
Non-GAAP Diluted EPS	\$0.33	\$0.60	-46%	\$0.55	-41%
FCF					
GAAP Net Income/(loss)	1,128	1,422	-21%		
Depreciation & Amortization	1,619	1,650	-2%		
Stock-based compensation	1,151	750	53%		
Change in working capital	2,806	(3,564)	NM		
<u>Change in collateralized lease borrowing</u>	<u>0</u>	<u>0</u>	NM		
Cash flow from operations	4,697	2,040	130%	3,445	36%
Capital Expenditure	(5,789)	(5,000)	16%	(6,698)	-14%
Free Cash Flow (FCF)	(1,092)	(2,960)	NM	(3,253)	-66%

Source: Company reports and J.P. Morgan estimates.

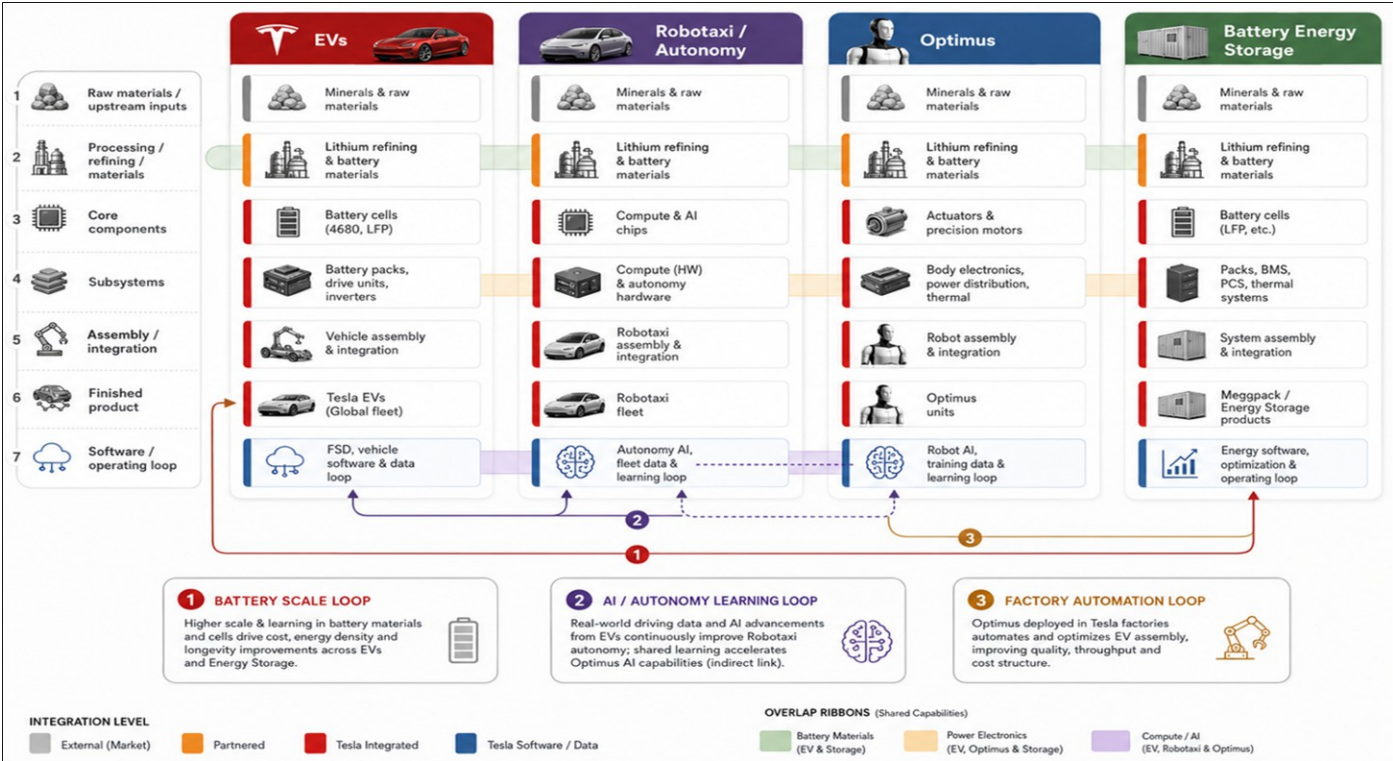
Note: Green highlighted metrics were announced prior to earnings.

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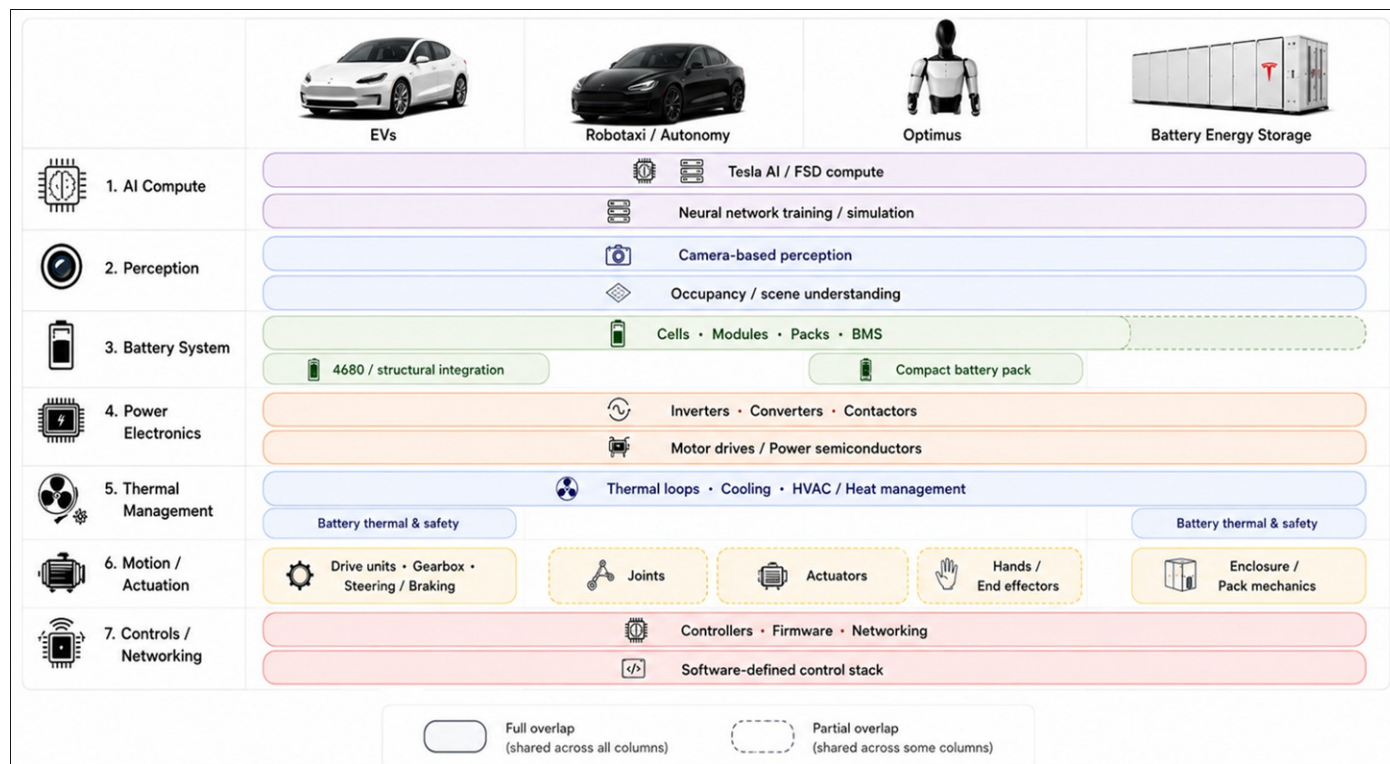
Charts: TSLA Vertical Integration

Figure 1: TSLA's Vertically and Horizontally Integrated Engineering Playbook



Source: J.P. Morgan.

Figure 2: TSLA's Cross-Platform Shared Hardware Stack



Source: J.P. Morgan.

Table 2: TSLA Production Capacity and Footprint

Region	Product	Capacity	Status
Automotive			
California	Model 3 / Model Y	>550,000	Production
Shanghai	Model 3 / Model Y	>950,000	Production
Berlin	Model Y	>375,000	Production
Texas	Model Y	>250,000	Production
Texas	Cybertruck	>125,000	Production
Texas	Cybercab	-	Pilot Production
Nevada	Tesla Semi	-	Pilot Production
TBD	Roadster	-	Design development
Energy Storage & Generation			
California	Megapack	40 GWh	Production
Shanghai	Megapack	20 GWh (Potential 40 GWh)	Production
Texas	Megapack	~50 GWh	Construction
Nevada	Powerwall	6 GWh	Production
New York	Solar Panels & Roof	0.3 GWh	Production
Robotics			
California	Optimus	-	Construction
Texas	Optimus	-	Construction
AI Training Compute			
Texas	Cortex 1	>100k H100e	Production
Texas	Cortex 2	>130k H100e	Early Ramp
Battery Manufacturing			
Nevada	LFP	7 GWh	Early Ramp
Texas	4680	40 GWh	Production
Texas	Cathode Materials	10 GWh	Early Ramp
Texas	Lithium Refining	30 GWh	Early Ramp

Source: Company reports.

Table 3: Case Studies of TSLA's Organizational Velocity

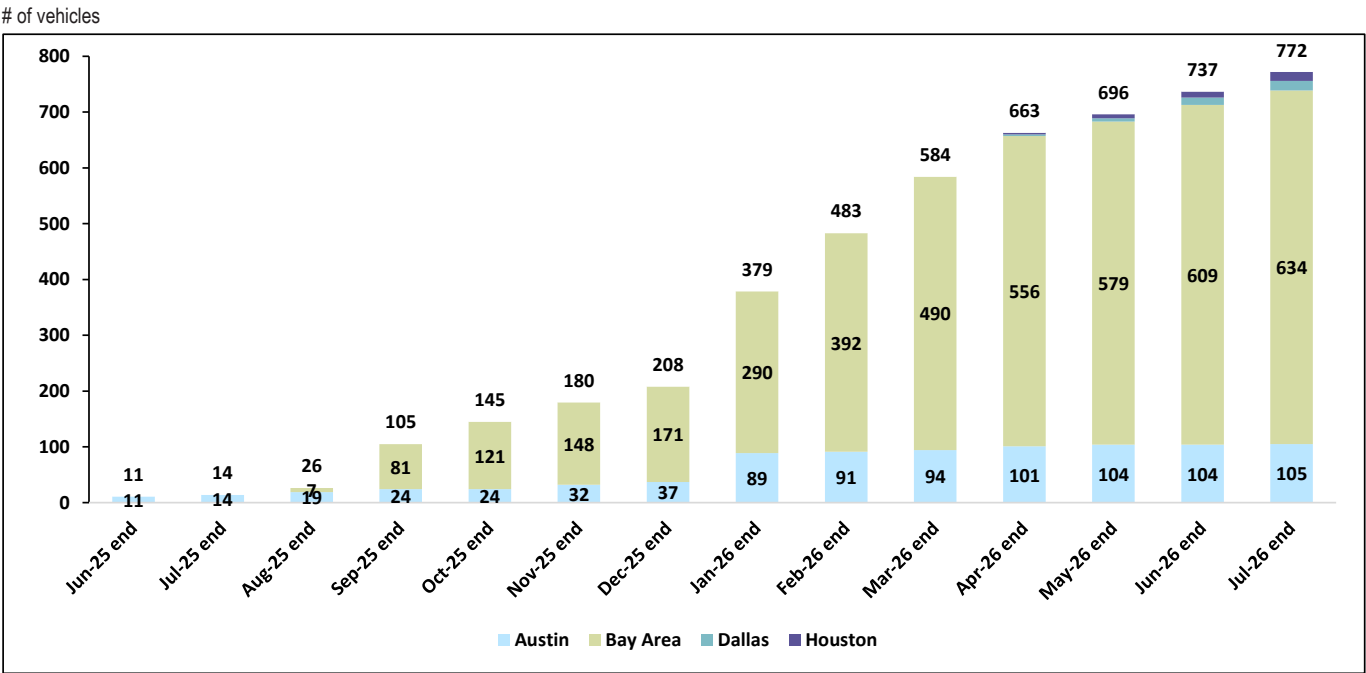
	TSLA Timeline	Traditional Industry Standard	TSLA's Execution Edge
Fremont Factory Relaunch (2010 - 2012)	Acquisition agreement May 2010, closed Oct 2010 → Model S deliveries Jun 2012 (~20 months from closing)	New vehicle program in existing plant: 3 - 5 years, and restarting a shuttered plant is typically longer	Acquired the former GM/Toyota NUMMI plant. Tesla had no high-volume manufacturing experience at the time but ramped up production quickly
Model 3 Production Recovery (2018)	Accelerated production from ~2,000 units/week in Feb → 5,000/week by late June (~4 months)	Auto plant ramp issues typically take 6 - 18 months to resolve	Erected a tent assembly line in weeks, ripped out failing automation overnight in favor of manual stations
Giga Shanghai (2019)	Broke ground Jan 2019 → Delivered vehicles in Dec 2019 (~12 months)	Automotive factory typically require 3 - 5 years from groundbreaking to production	Parallelization of construction, equipment installation, and production start
Gigacasting (2019 - 2020)	Concept to production in ~18-24 months	Comparable process innovation entails 5 - 10 years R&D to production timeline	Developed proprietary alloy, and partnered with IDRA on developing the world's largest die-cast machines
FSD Computer / HW3 (2017 - 2019)	Blank-sheet chip design to production in ~36 months	Custom chip program typically takes 5+ years from concept to production	Ability to hire the best talent and move at high velocity
Over-the-Air Braking Fix (2018)	Firmware fix was deployed fleet-wide in days	Traditional recall/fix would take months to years	A physical performance characteristic was fixed via software, and pushed to all cars without a service visit
4680 Cell Development (2020 - 2021)	Announcement to working pilot cells in months	New battery cell format: 2 - 4 years concept to pilot	Incorporated 3 simultaneous innovations - form factor, tables electrode and dry coating
Giga Berlin (2020 - 2022)	Groundbreaking Mar 2020 → first deliveries Mar 2022 (~24 months)	European auto plants typically take 3 - 5 years from groundbreaking to production	Execution pace was on par with Giga Shanghai on the build side; the binding constraint was German environmental permitting, not Tesla's manufacturing capability — useful evidence that regulatory friction, not internal execution, sets the floor
Megafactory Lathrop (2022)	Construction to production in ~12 months	Comparable industrial facility requires 24 - 36 months	Precision manufacturing of integrated grid-scale battery systems at speed
Optimus Concept → Gen 2 (2021 - 2023)	Concept tease at AI Day Aug 2021 → working "Bumblebee" bipedal prototype Sept 2022 (~12 months) → Optimus Gen 2 demo Dec 2023 (~15 months later)	Comparable humanoid programs took 10 - 15+ years from concept to public bipedal demo	Vertically integrated custom actuators and hand assemblies, reused FSD vision and compute stack, and iterated hardware generations on a consumer-electronics cadence rather than a robotics-research cadence
Cortex AI Training Cluster (2024)	Site prep early 2024 → ~50,000 NVIDIA H100 GPUs operational at Giga Texas by Aug 2024 (~8 months)	Hyperscaler-class AI training clusters typically require 18 - 24+ months from site selection to operational	Co-located with the factory at Giga Texas, leveraged existing substation and power infrastructure, custom liquid-cooling design clusters in under a year
Fremont → Optimus Conversion (2026, targeted)	S/X line dismantled May → Optimus production targeted July/Aug (~3 - 4 months)	Comparable factory retooling requires 6-12+ months	Sustained expertise in automating factories and scaling production

Source: Company reports and J.P. Morgan.

Charts: TSLA Robotaxi

TSLA Robotaxi Fleet

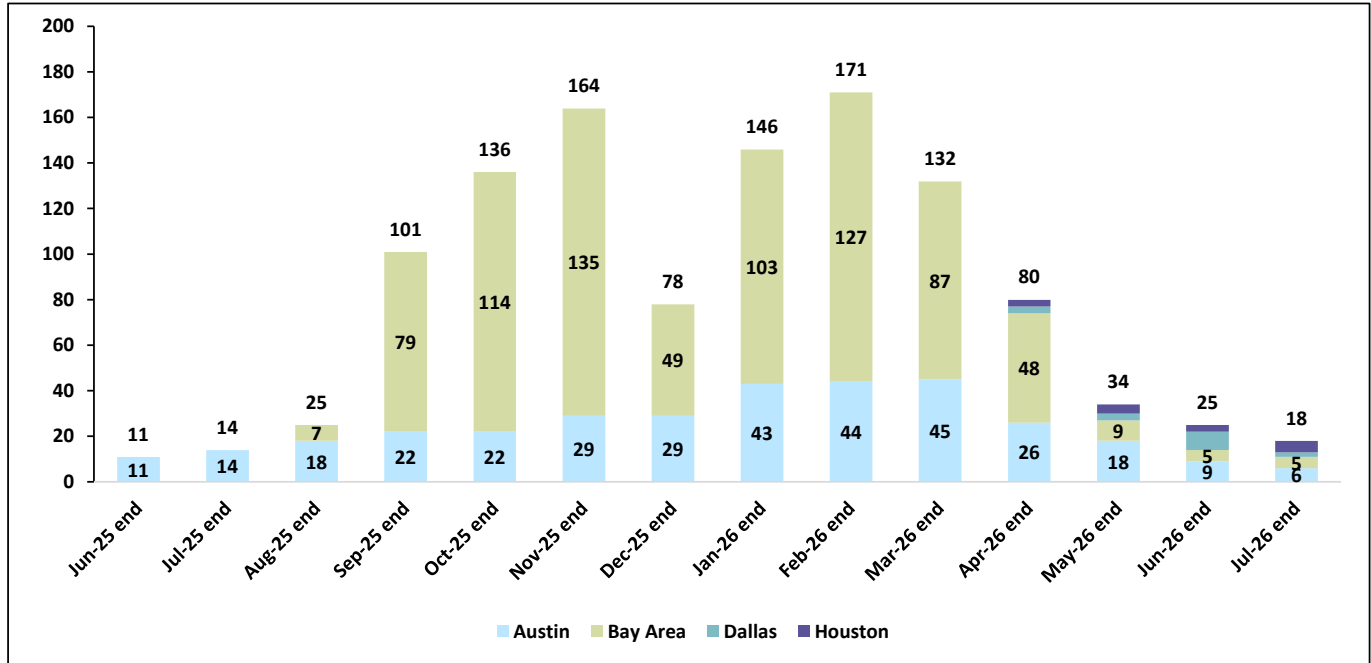
Figure 3: TSLA Robotaxi Fleet To Date (cumulative, inc. inactive vehicles)



Source: Robotaxi Tracker.

Figure 4: TSLA Active Robotaxi Fleet (only vehicles active in the last 7 days)

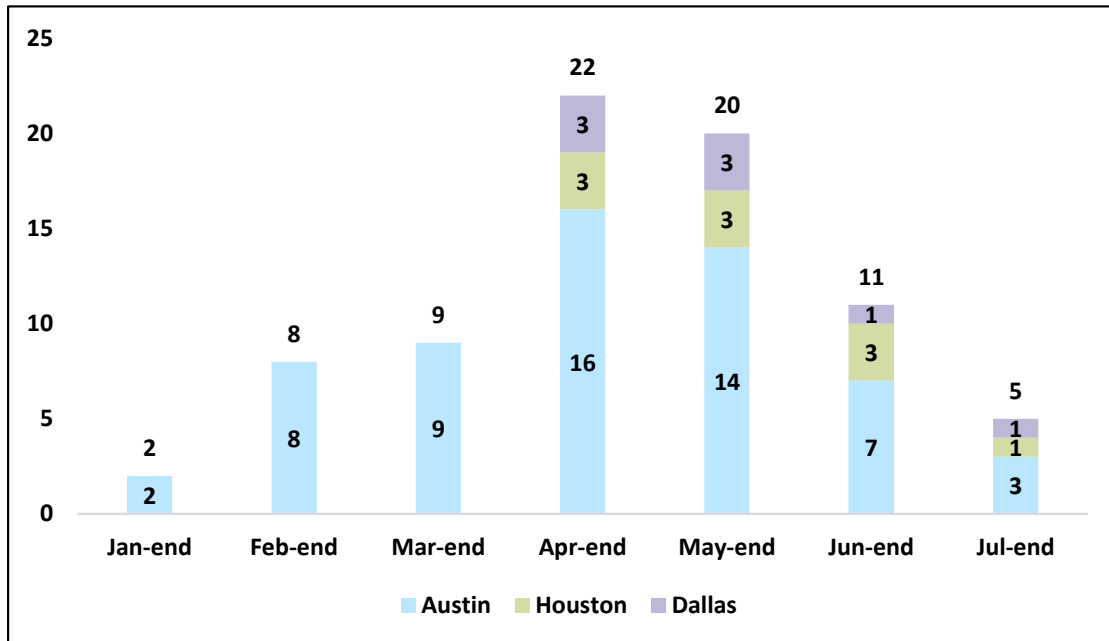
of vehicles



Source: Robotaxi Tracker.

Figure 5: TSLA Active Unsupervised Robotaxi Fleet (only vehicles active in the last 7 days)

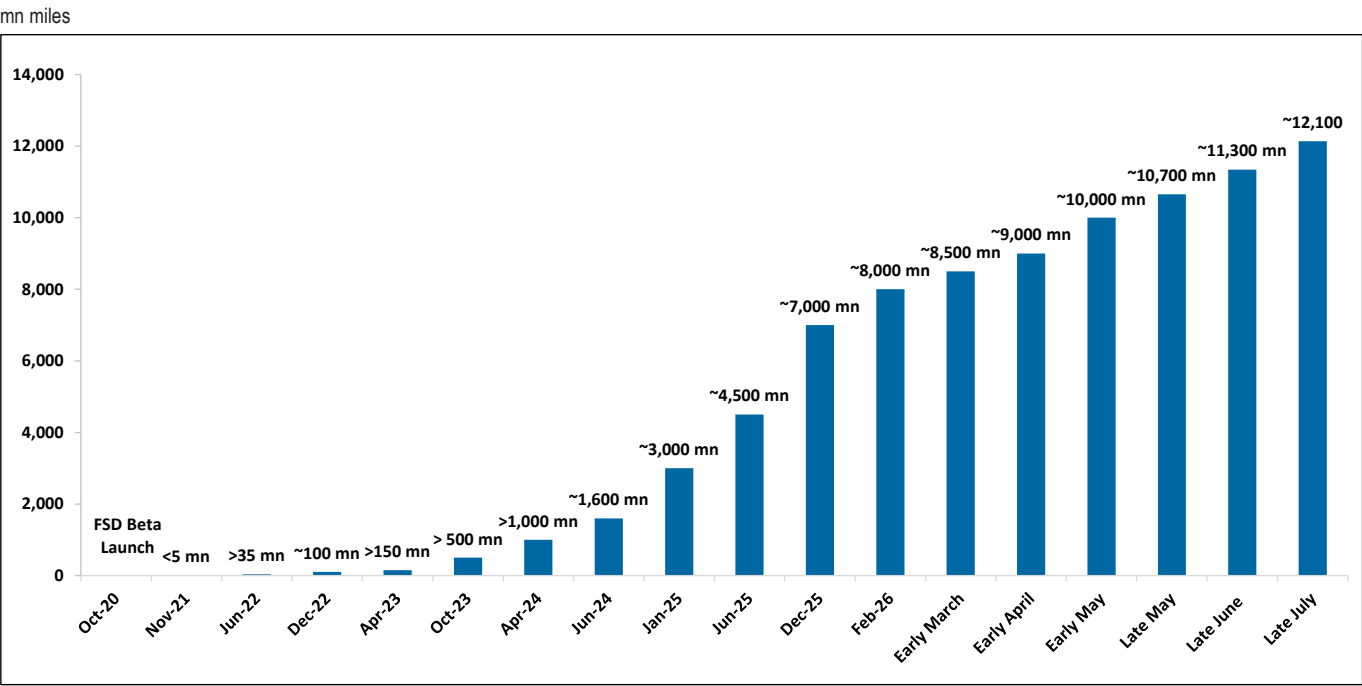
of vehicles



Source: Robotaxi Tracker.

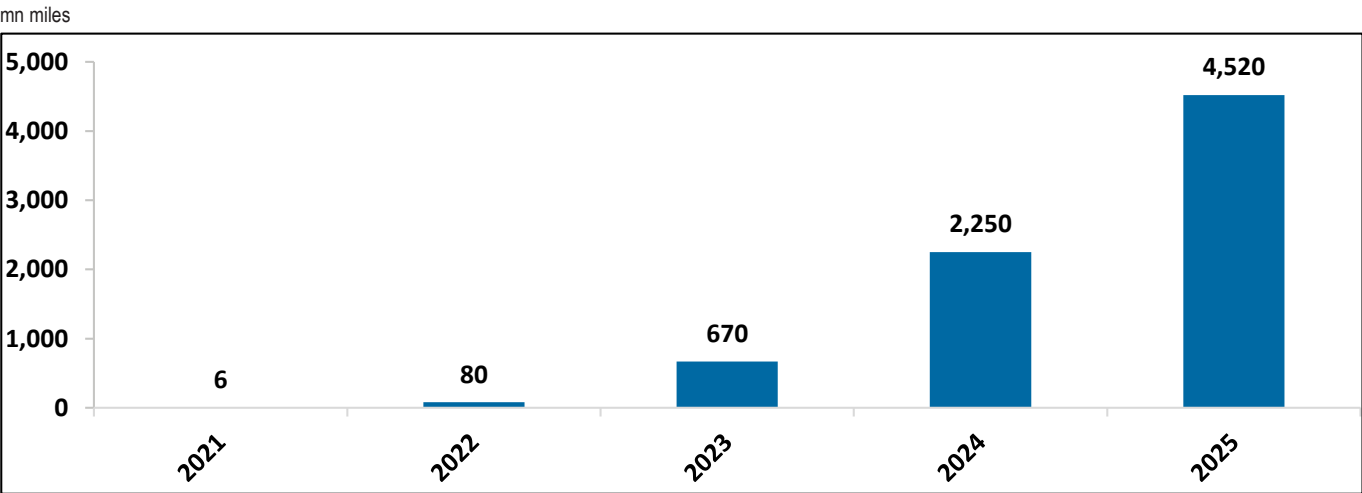
TSLA FSD Trends

Figure 6: TSLA FSD Miles Driven (Cumulative)



Source: Company reports and J.P. Morgan estimates.

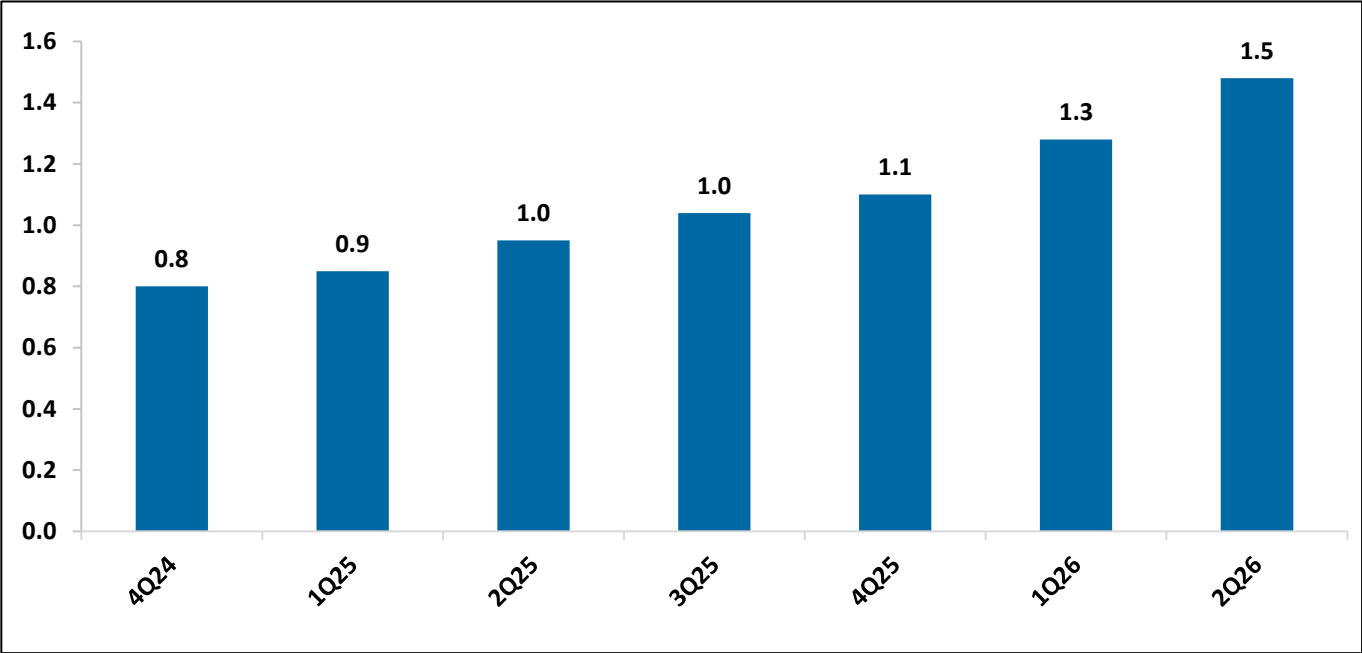
Figure 7: Estimated TSLA FSD Miles Driven (Annual)



Source: Company reports and J.P. Morgan estimates.

Figure 8: TSLA FSD Subscribers

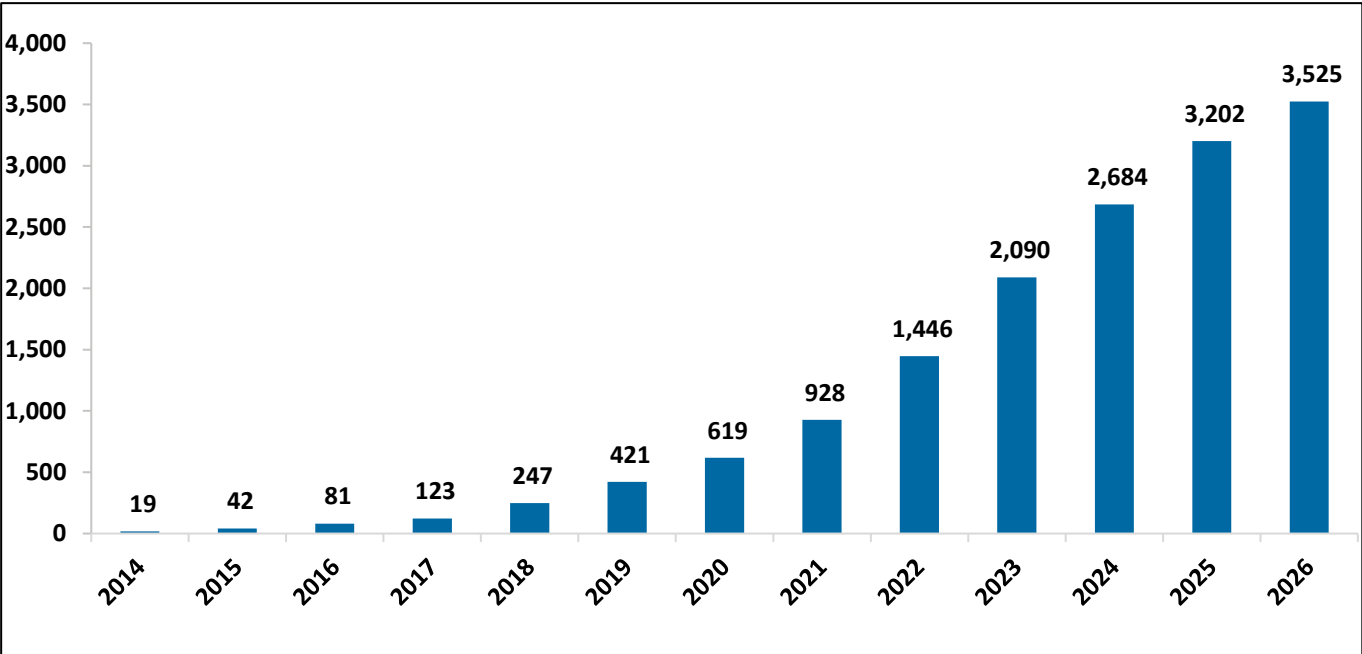
mn subscribers



Source: Company reports.

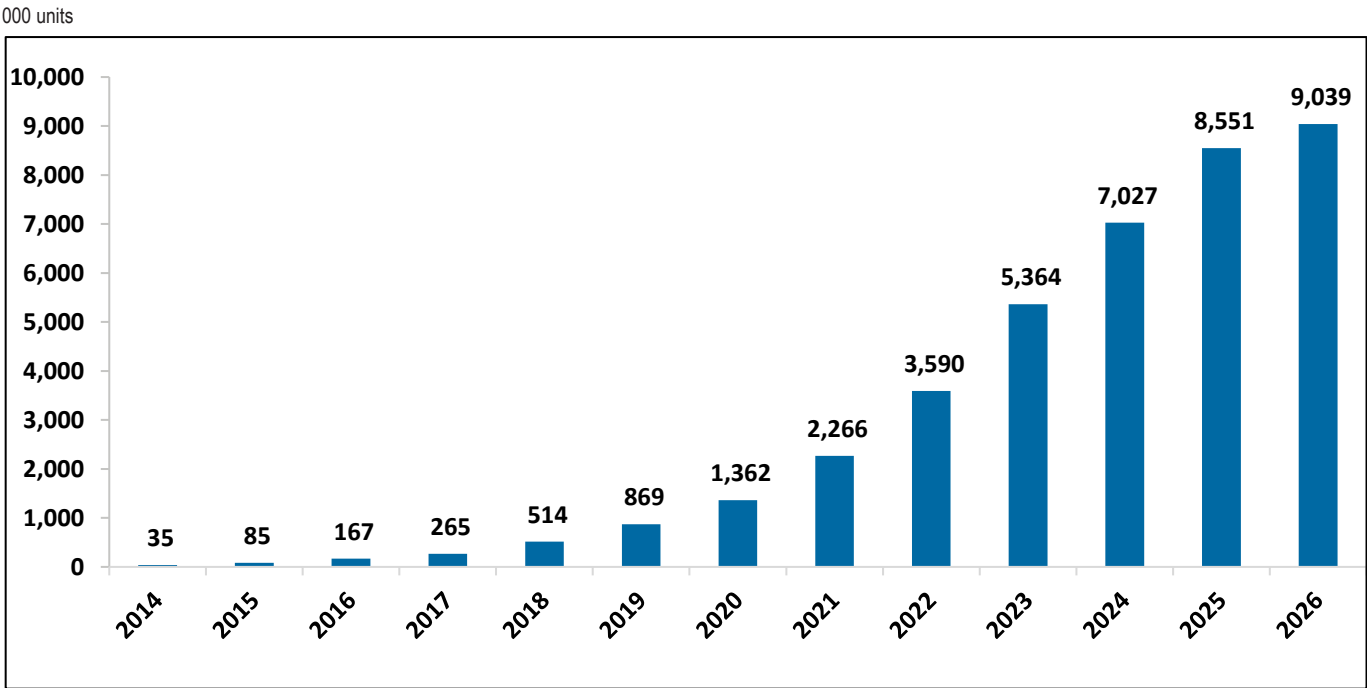
Figure 9: JPM TSLA Units in Operation in US

000 units



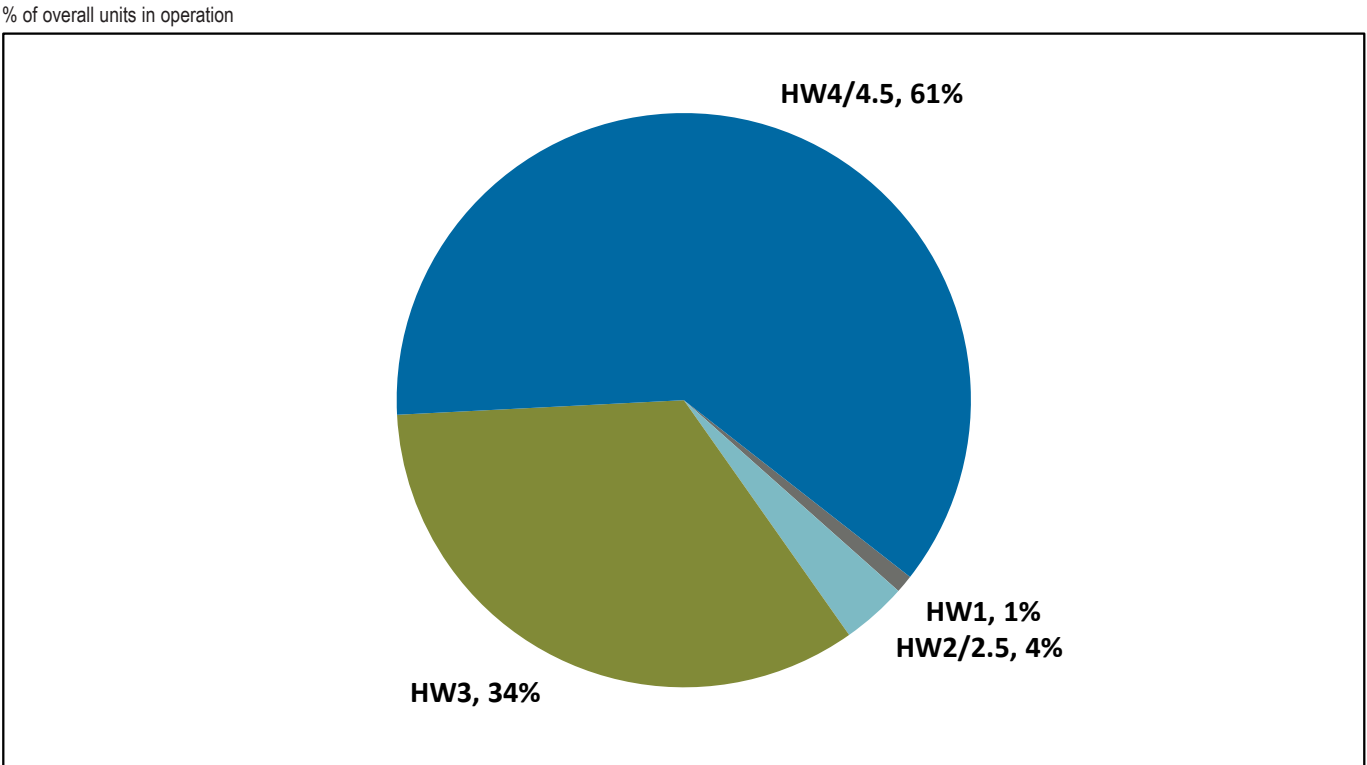
Source: Company reports, S&P Global Mobility and J.P. Morgan estimates.

Figure 10: JPMe TSLA Units in Operation Globally



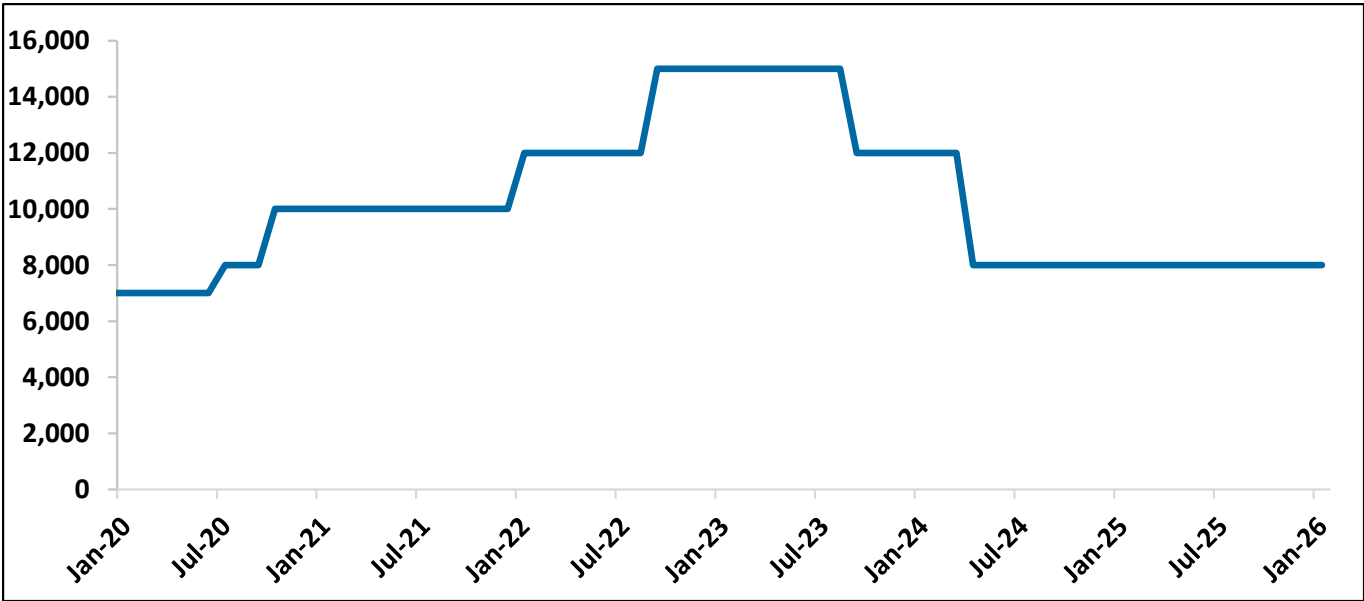
Source: Company reports, S&P Global Mobility and J.P. Morgan estimates.

Figure 11: JPMe TSLA Units in Operation Globally Split by Hardware Versions (2025)



Source: Company reports, S&P Global Mobility and J.P. Morgan estimates.

Figure 12: TSLA FSD Upfront Purchase Price History (Subscription Only Format Effective Feb 2026)



Source: BloombergNEF, Company reports and J.P. Morgan estimates.

JPM TSLA Robotaxi TAM

Figure 13: JPM US Robotaxi Operator Cost per Mile (Not Consumer Price)

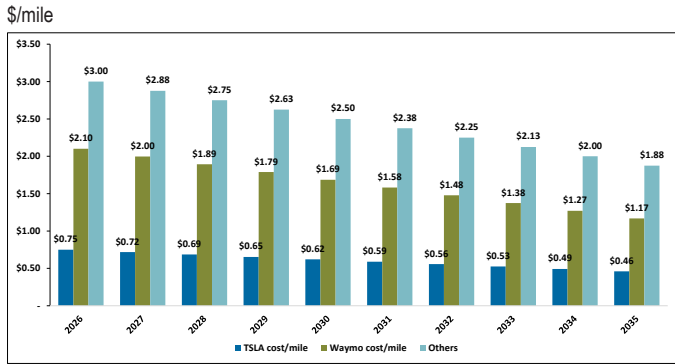


Figure 15: JPM Regulatory Access Index in US by Robotaxi Operator

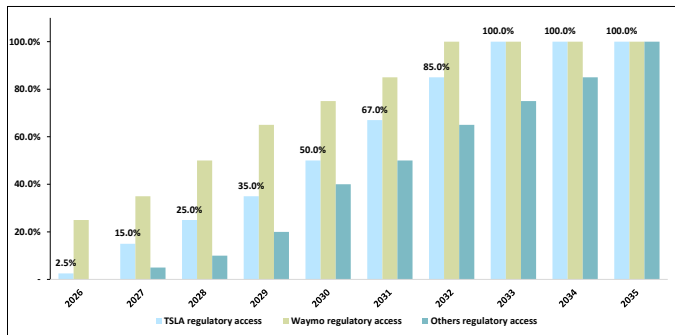


Figure 14: JPM Urban Vehicle Miles Traveled Expected to be Addressed by Robotaxis by Region

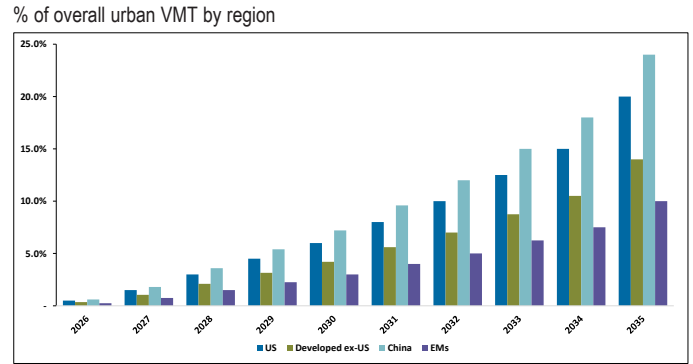


Figure 16: JPM Total Robotaxi Miles Projections

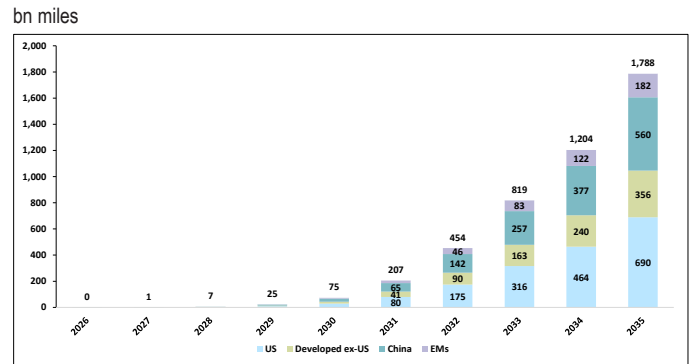


Figure 17: JPM US Robotaxi Miles Share Split (2035E)

% of overall robotaxi miles

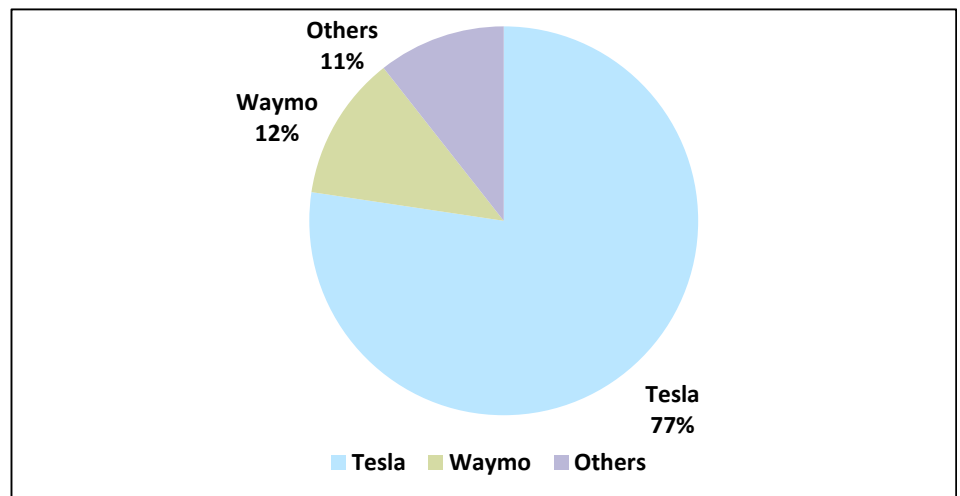
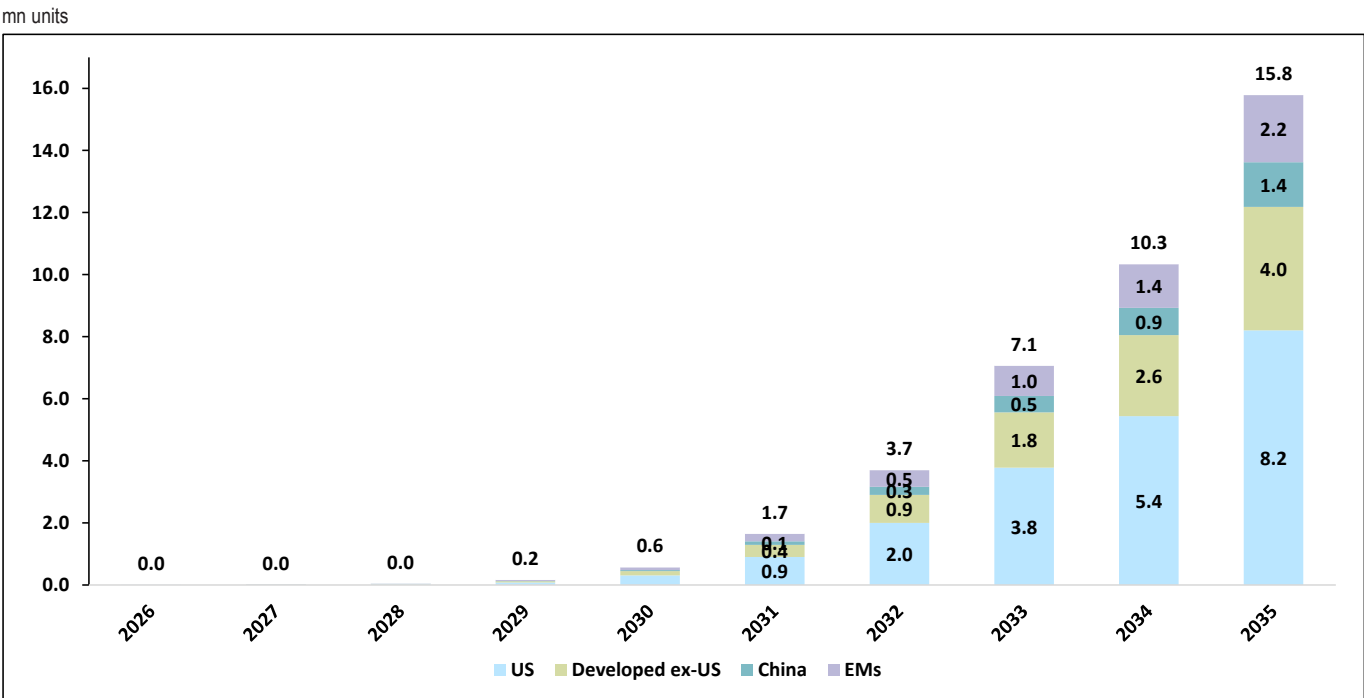


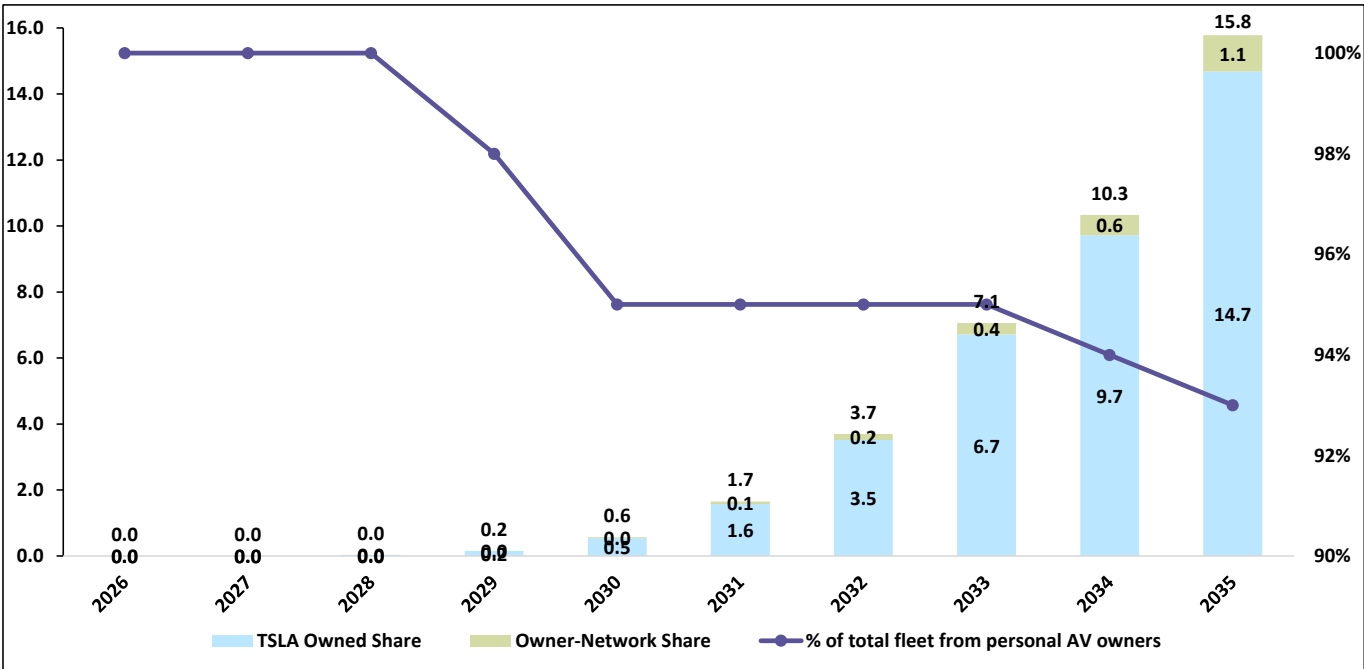
Figure 18: JPMe TSLA Robotaxi Fleet by Region



Source: J.P. Morgan estimates.

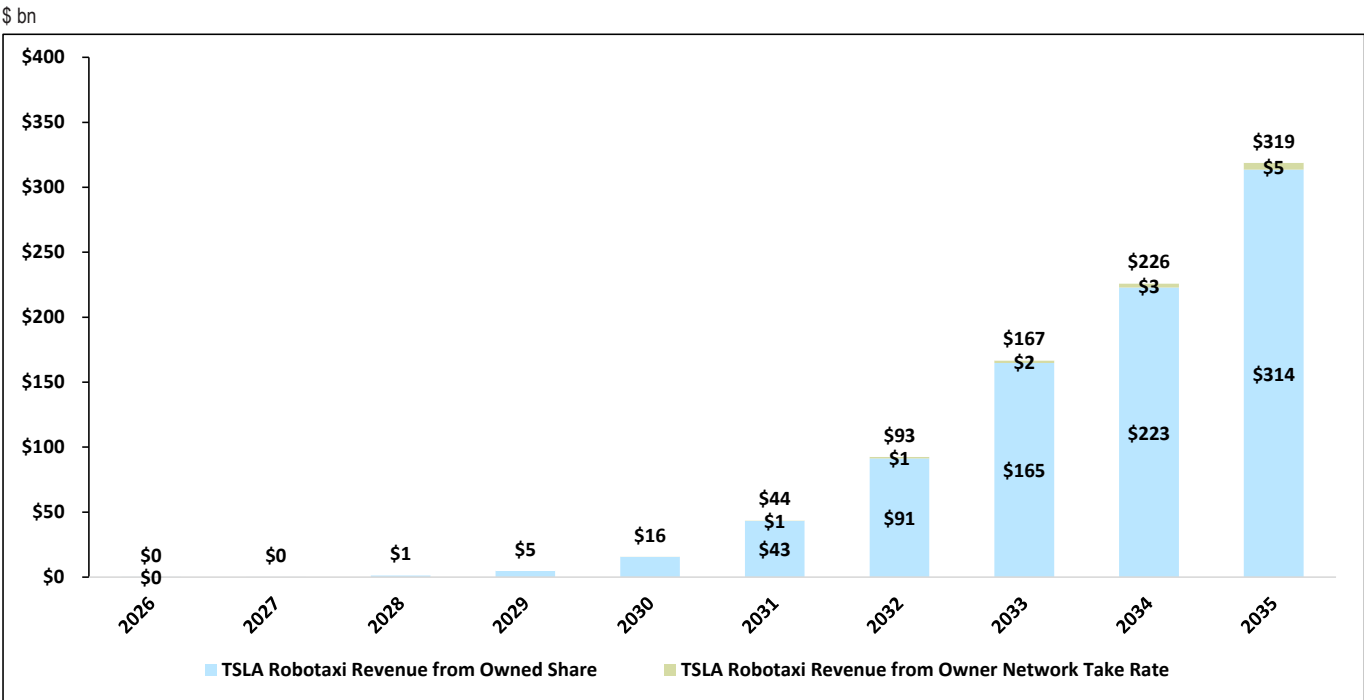
Figure 19: JPMe TSLA Robotaxi Fleet Split between Company-Owned and Consumer-Owned

L-Axis: mn vehicles; R-Axis: company owned AVs as % of overall robotaxi fleet



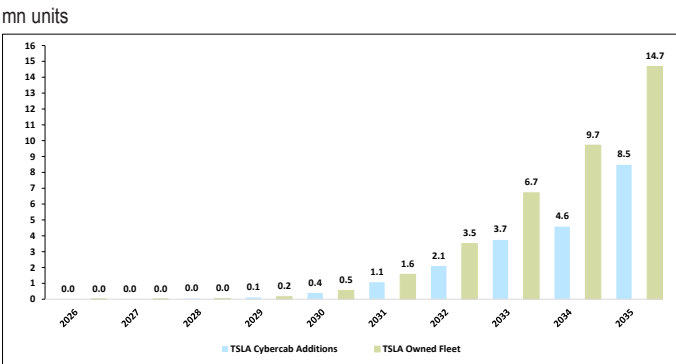
Source: J.P. Morgan estimates.

Figure 20: JPMe TSLA Robotaxi Revenue Projections



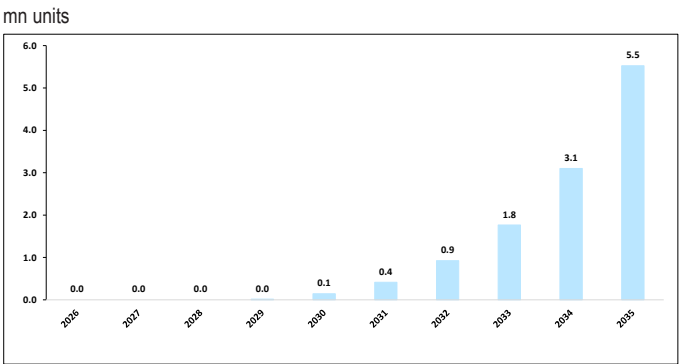
Source: J.P. Morgan estimates.

Figure 21: JPMe TSLA Cybercab Additions and Fleet Size by Year



Source: J.P. Morgan estimates.

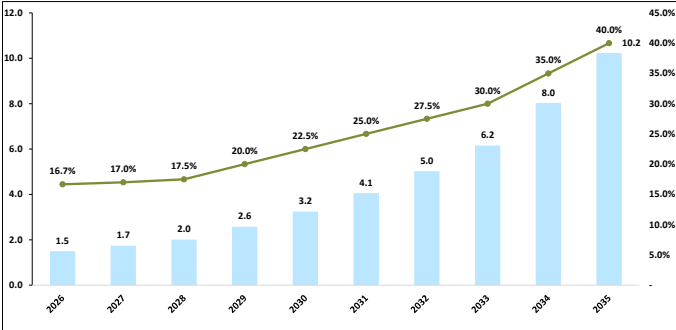
Figure 22: JPMe Personal AV Fleet Size by Year



Source: J.P. Morgan estimates.

Figure 23: JPMe TSLA FSD Subscribers and Penetration

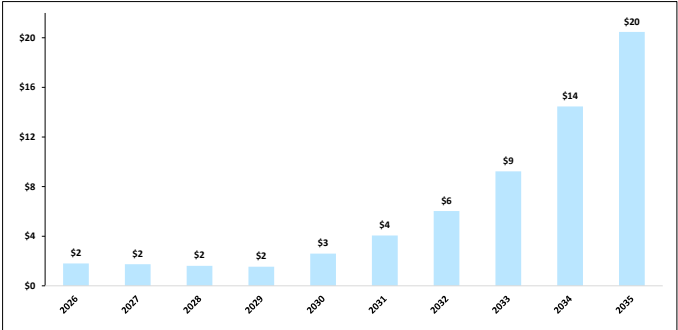
L-Axis: FSD subscribers in mn; R-Axis: % of units in operation with active FSD subscription



Source: J.P. Morgan estimates.

Figure 24: JPMe TSLA FSD Revenue Projections

\$ bn



Source: J.P. Morgan estimates.

AV Regulations

Table 4: Global Regulation on Autonomous Vehicles (AV)

Country	Regulatory Framework	Autonomy Levels Permitted	Testing Requirements	Operational Restrictions
US (Federal)	NHTSA sets vehicle safety standards (FMVSS). FMVSS exemptions are capped at 2,500 vehicles per manufacturer per year. SELF DRIVE Act, reintroduced in January 2026, would raise this cap but remains unpassed.	L2 is broadly allowed under existing FMVSS. L3–L5 vehicles require exemptions only if their design lacks human controls such as a steering wheel, pedals, or mirrors.	Manufacturers self-certify against FMVSS. Crash reporting is mandatory for ADS-equipped and L2 ADAS vehicles.	Federal role is limited to vehicle design and safety. Deployment, licensing, insurance, and registration rules are set state by state.
China	MIIT sets the national framework, while major cities (Beijing, Shanghai, Shenzhen, Wuhan, Chongqing) run pilot programs. A new mandatory L3/L4 safety standard was drafted in February 2026 and takes effect in July 2027.	Initial L3 commercial approvals were granted in December 2025 to Changan (Deepal, Chongqing) and Arcfox (BAIC, Beijing). L4 robotaxis already operate commercially via Apollo Go (Baidu), Pony.ai, and WeRide.	A black box data recorder has been mandated since January 2026. L3 operation is restricted to single-lane use on approved routes, with a maximum approved speed of 80 km/h (Arcfox in Beijing). Changan's Deepal is capped at 50 km/h in traffic-jam conditions.	Operations are limited to designated city pilot zones.
EU	EU-wide rules cover both L3 highway driving and L4 ADS approval. These sit alongside the General Safety Regulation.	L3 is approved across all EU member states, though must be adopted via national legislation. L4 is limited to specific use cases such as urban passenger shuttles, robotaxis, and hub-to-hub freight.	A type-approval system applies — vehicles must be certified by a designated authority (such as Germany's KBA) before sale.	Operations are limited to pre-approved ODDs. A human supervisor must remotely monitor L4 vehicles, and member states such as Germany, France, and the Netherlands set additional deployment rules on top of EU type-approval.
Germany	KBA handles type-approval, while state authorities issue operational permits on a case-by-case basis.	L2 requires no permit. L3 is approved through standard channels, and L4 is permitted without a driver in approved areas.	A data recorder, black box, is mandatory, and each operational area must be approved by the relevant state authority.	Operations are confined to state-approved geographic areas. Operators must designate a technical supervisor who can remotely deactivate the vehicle.
UK	Automated Vehicles Act 2024 will be fully rolled out in H2 2027. A pilot permit scheme launched earlier this year allowing AVs on public roads without a human driver. Wayve has partnered with the government to begin commercial robotaxi trials in London during 2026.	Only L2 is commercially deployed today	A multi-layer approval applies, including vehicle registration, a Vehicle Special Order (VSO), and an Automated Passenger Service (APS) permit for passenger operations.	Pilots may operate with or without a safety driver, and are confined to approved routes or areas. The pilot scheme remains under active review and will inform the final 2027 regime.
Japan	A 2023 amendment to the Road Traffic Act introduced 'Specified Automated Driving' (L4) as a legal category.	L3 is commercially available (Honda Legend Traffic Jam Pilot, capped at 50 km/h in congested traffic). L4 is permitted on public roads under specific permit conditions.	The Prefectural Public Safety Commission must issue an L4 permit, and a remote, Specified Automated Driving Operations Supervisor, must monitor each service.	L4 services typically run at very low speeds on fixed routes (for example, Eiheiji town at ≤12 km/h) and are weighted towards commercial transportation services like buses and shuttles.
South Korea	The 2020 Autonomous Vehicle Act (administered by MOLIT) and a 2024 Road Traffic Act update form the core framework. The government targets commercial L4 by 2027 under the Mobility Innovation Roadmap.	L3 has been regulated since September 2024. L4 buses and shuttles are allowed in designated Autonomous Driving Pilot Districts (Seoul Sangam, Pangyo, Sejong), and L4 passenger cars are targeted for 2027.	MOLIT designates approved roads and pilot zones. KATRI handles safety certification, and liability insurance is required.	Operations are confined to designated pilot zones. The existing Passenger Transport Service Act protects licensed taxis and blocks open robotaxi competition outside pilot exemptions.
UAE	There is no federal AV law. Regulation is handled by each emirate. Dubai operates under Law No. 9 of 2023 and RTA rules, while Abu Dhabi is overseen by the Integrated Transport Centre (ITC).	L4 robotaxis are commercially operating. Abu Dhabi (WeRide–Uber) launched in late 2025. Dubai (Apollo Go–Dubai Taxi Company) launched in early 2026.	Each emirate issues its own permit. Dubai defines multiple AV categories covering passenger, shuttle, and freight services. Safety specialists are typically required initially, with a phased transition to fully driverless operation.	Operations are limited to approved geographic zones such as Yas Island in Abu Dhabi and Dubai Silicon Oasis. Permits are issued one zone at a time, aligned with Dubai's goal of 25% autonomous trips by 2030.
Singapore	The existing Road Traffic Act and 2017 AV Rules treat AVs as a regulatory sandbox under the LTA. A new comprehensive AV law is in public consultation, closing June 30, 2026.	L4 is allowed under the sandbox in two tracks — Deployable (limited commercial service) and Developmental (R&D and testing). Pony.ai launched a commercial robotaxi service in partnership with ComfortDelGro in early 2026.	Closed-track testing at the CETRAN facility is mandatory, alongside milestone assessments. A security deposit and an onboard data recorder are required.	Operations are limited to approved trial areas such as one-north, Jurong, and Punggol. An onboard or remote safety operator is always required under current rules.

Source: J.P. Morgan.

Table 5: US State Regulations on Autonomous Vehicles (AV)

State	Regulatory Framework	Autonomy Levels Permitted	Testing Requirements	Operational Restrictions
California	Dual oversight: DMV (vehicle permits) + CPUC (paid passenger service); sweeping new DMV rules adopted May 2026, effective July 1, 2026; described as the most comprehensive AV rules in the US	L3+ defined as "autonomous"; driverless robotaxis permitted (Waymo, Zoox hold deployment permits); Tesla operates under a CPUC limousine (TCP) permit, not an AV permit	Staged permits (testing with driver, then driverless testing, then deployment); 50,000-mile safety test required (500,000 for trucks); remote operators must meet CA licensing/training standards	Per-company approved ODDs; police can issue a notice of noncompliance directly to manufacturers for moving violations (effective July 1, 2026), 72-hr response window; local officials can impose emergency electronic geofencing; manufacturers must enable first-responder contact within 30 seconds
Texas	SB 2205 (2017) + HB 3026 (2021); SB 2807 (2025) added a TX DMV authorization requirement for driverless commercial AV operation, with revocation power on safety grounds	All levels, with or without driver; ADS treated as legal operator when engaged	TX DMV authorization for driverless commercial operation (post-2025); FMVSS compliance, registration, commercial insurance, and onboard data recorder required	No state-imposed location limits; local municipalities preempted; minimal risk condition (safe stop) required on failure
Arizona	Gov. executive orders (2015, updated 2018) codified into law via HB 2813 (2021)	All levels, including fully driverless commercial operation (Waymo operates paid robotaxi service in Phoenix metro)	Self-certification filed with ADOT and Dept. of Public Safety (for driverless); FMVSS compliance, registration, and standard insurance required	No state-imposed area limits; operating without certification triggers enforcement; local municipalities preempted
Nevada	NRS 482A, administered by Nevada DMV; first US state to authorize AV testing (2011)	All levels, including fully driverless	DMV testing certificate + compliance certificate; \$5 mn insurance, surety bond, or cash deposit	Proprietary data submitted to DMV is confidential; local municipalities preempted
Florida	HB 311 (2019), comprehensive AV statute; one of the most permissive US regimes	All levels; ADS is the legal driver when engaged, no human required	No state permit; FMVSS compliance, registration, and \$1 mn liability insurance for AV ride-hailing networks	No state-imposed location limits; local municipalities preempted; minimal risk condition (safe stop) required on failure
Georgia	SB 219 (2017) made AVs legal statewide	All levels including fully driverless; operator does not need a driver's license	No state permit; \$300K minimum liability insurance (matching taxi/limo standard); vehicle registration required	Must achieve minimal risk condition (safe stop) on failure; local municipalities preempted
Michigan	2016 four-bill package (SB 995 to 998), including the SAVE Act (Safe Autonomous Vehicle Act) authorizing on-demand AV ride-hailing networks; first US state to allow fully driverless commercial operation	All levels, with or without driver; SAVE ride-hailing fleets restricted to OEMs or their partners	No state permit; SAVE participants self-certify with the state; standard insurance required	Local rules preempted; SAVE fleets bounded by each OEM's Operational Design Domain (ODD), covering geofence, road types, speed, weather, and time of day, outside which the vehicle must hand off or safely stop
New York	DMV-administered AV testing pilot, extended via the amended FY2027 state budget (limited to NYC); upstate commercial expansion blocked Feb 2026	Testing allowed up to L4 but only with a safety driver; fully driverless not permitted	DMV application, \$5 mn liability insurance, State Police interaction/demonstration plan, licensed driver in driver's seat at all times	Safety driver mandatory statewide; NYC imposes additional rules; Waymo currently testing in NYC with a specialist behind the wheel, not yet open to public riders
Washington	RCW 46.92, administered by Dept. of Licensing	All levels allowed via self-certification	Self-certify with DOL; FMVSS compliance plus \$5 mn liability insurance; annual crash/violation report due Feb 1	No state-imposed location limits; vehicle must achieve minimal risk condition (safe stop) on failure
Pennsylvania	Act 117 (2022) plus 2018 platooning law; PennDOT has sole authority over HAVs	All levels, with or without driver	Act 117 requires an HAV authorization (permit) from PennDOT, proof of \$1 mn minimum liability insurance, a designated remote operator/ADS for driverless, and compliance with PennDOT's published guidelines	Local municipalities preempted; authorized operator (in-vehicle or remote) bears responsibility

Source: J.P. Morgan.

Charts: TSLA Optimus

JPM TSLA Humanoid TAM

Table 6: JPMe Hourly Wage Projections vs. Humanoid Operating Cost/Hr (Inc. Acquisition Cost)

\$/hr	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Hourly Wage (\$/hr)											
Manufacturing											
US	\$41	\$42	\$43	\$45	\$46	\$47	\$49	\$50	\$52	\$53	\$55
Dev ex-US	\$39	\$40	\$41	\$42	\$44	\$45	\$46	\$48	\$49	\$51	\$52
China	\$7	\$8	\$8	\$8	\$9	\$9	\$9	\$10	\$10	\$10	\$11
Other EM	\$4	\$4	\$5	\$5	\$5	\$5	\$6	\$6	\$6	\$7	\$7
Logistics & Warehousing											
US	\$30	\$31	\$32	\$33	\$34	\$35	\$36	\$37	\$38	\$39	\$40
Dev ex-US	\$29	\$30	\$31	\$31	\$32	\$33	\$34	\$35	\$37	\$38	\$39
China	\$6	\$6	\$6	\$7	\$7	\$7	\$7	\$8	\$8	\$8	\$9
Other EM	\$3	\$3	\$3	\$4	\$4	\$4	\$4	\$5	\$5	\$5	\$5
Hospitality, F&B & Cleaning											
US	\$20	\$21	\$22	\$22	\$23	\$24	\$24	\$25	\$26	\$27	\$27
Dev ex-US	\$19	\$19	\$20	\$21	\$21	\$22	\$22	\$23	\$24	\$25	\$25
China	\$4	\$4	\$5	\$5	\$5	\$5	\$5	\$6	\$6	\$6	\$6
Other EM	\$2	\$2	\$2	\$2	\$3	\$3	\$3	\$3	\$3	\$3	\$4
Eldercare & Personal Care											
US	\$26	\$27	\$28	\$29	\$30	\$31	\$31	\$32	\$33	\$34	\$35
Dev ex-US	\$31	\$32	\$33	\$34	\$35	\$36	\$37	\$38	\$39	\$41	\$42
China	\$9	\$9	\$9	\$10	\$10	\$11	\$11	\$11	\$12	\$12	\$13
Other EM	\$4	\$4	\$4	\$4	\$4	\$5	\$5	\$5	\$6	\$6	\$6
Other B2B (security/light-ind/ag-adj)											
US	\$27	\$28	\$29	\$30	\$31	\$32	\$33	\$34	\$35	\$36	\$37
Dev ex-US	\$25	\$25	\$26	\$27	\$28	\$29	\$30	\$30	\$31	\$32	\$33
China	\$7	\$7	\$7	\$8	\$8	\$8	\$9	\$9	\$9	\$10	\$10
Other EM	\$4	\$4	\$4	\$4	\$4	\$5	\$5	\$5	\$6	\$6	\$6
JPMe Humanoid Operating Cost \$/hr	\$9	\$7	\$5	\$4	\$4	\$3	\$3	\$2	\$2	\$2	\$2

Source: J.P. Morgan estimates.

Table 7: JPMe Economic Feasibility Index by Verticals and Regions

% of tasks where economics are feasible for humanoid deployment

Economic feasibility % by vertical × region	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Manufacturing											
US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Dev ex-US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
China		0%	0%	49%	72%	93%	100%	100%	100%	100%	100%
Other EM		0%	0%	0%	0%	26%	61%	93%	100%	100%	100%
Logistics & Warehousing											
US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Dev ex-US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
China		0%	0%	15%	43%	69%	93%	100%	100%	100%	100%
Other EM		0%	0%	0%	0%	0%	14%	56%	71%	85%	98%
Hospitality, F&B & Cleaning											
US		88%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Dev ex-US		78%	100%	100%	100%	100%	100%	100%	100%	100%	100%
China		0%	0%	0%	0%	21%	54%	85%	95%	100%	100%
Other EM		0%	0%	0%	0%	0%	0%	0%	6%	26%	45%
Eldercare & Personal Care											
US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Dev ex-US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
China		0%	7%	73%	92%	100%	100%	100%	100%	100%	100%
Other EM		0%	0%	0%	0%	0%	40%	76%	89%	100%	100%
Other B2B (security/light-ind/ag-adj)											
US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Dev ex-US		100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
China		0%	0%	39%	64%	86%	100%	100%	100%	100%	100%
Other EM		0%	0%	0%	0%	0%	40%	76%	89%	100%	100%

Source: J.P. Morgan estimates.

Table 8: JPMe Task/Job Capability Feasibility Index by Verticals and Regions

% of tasks that are feasible to be addressed by humanoid deployment

Capability Feasibility % (vertical × year)	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Manufacturing			35.0%	75.0%	75.0%	95.0%	95.0%	95.0%	95.0%	95.0%	100.0%
Logistics & Warehousing			30.0%	55.0%	55.0%	90.0%	90.0%	90.0%	90.0%	90.0%	100.0%
Hospitality, F&B & Cleaning			10.0%	25.0%	25.0%	65.0%	65.0%	65.0%	65.0%	65.0%	95.0%
Eldercare & Personal Care			5.0%	15.0%	15.0%	35.0%	35.0%	35.0%	35.0%	35.0%	85.0%
Other B2B (security/light-ind/ag-adj)			30.0%	55.0%	55.0%	80.0%	80.0%	80.0%	80.0%	80.0%	95.0%
Consumer/Household			5.0%	15.0%	15.0%	30.0%	30.0%	30.0%	30.0%	30.0%	60.0%

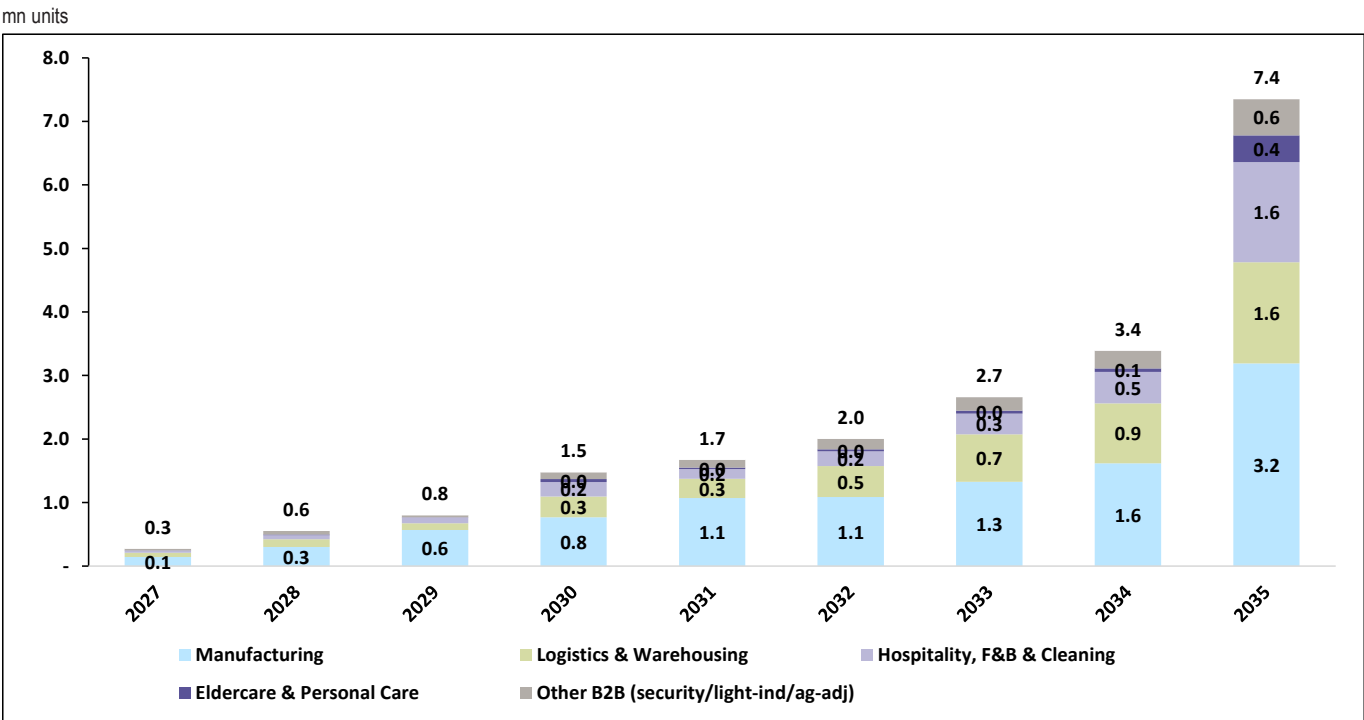
Source: J.P. Morgan estimates.

Table 9: JPMe Implied Humanoid Penetration Across Verticals and Regions

Penetration % (vertical × region × year)	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Manufacturing											
US			0.4%	0.8%	1.8%	2.2%	3.1%	3.7%	4.2%	4.5%	5.3%
Dev ex-US			0.4%	0.7%	1.8%	2.2%	3.1%	3.5%	4.2%	4.5%	5.3%
China			0.0%	0.2%	0.3%	0.7%	1.0%	1.2%	1.4%	1.5%	1.9%
Other EM			0.0%	0.0%	0.0%	0.1%	0.3%	0.6%	0.8%	1.0%	1.3%
Logistics & Warehousing											
US			0.4%	1.0%	1.5%	3.0%	4.2%	6.0%	8.5%	11.0%	14.6%
Dev ex-US			0.4%	1.0%	1.5%	3.0%	4.2%	6.0%	8.5%	11.0%	14.6%
China			0.0%	0.0%	0.1%	0.3%	0.6%	0.8%	1.0%	1.5%	2.3%
Other EM			0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.2%	0.3%	0.6%
Hospitality, F&B & Cleaning											
US			0.1%	0.2%	0.4%	0.7%	1.0%	1.2%	1.5%	2.0%	3.6%
Dev ex-US			0.1%	0.2%	0.4%	0.7%	1.0%	1.2%	1.5%	2.0%	3.6%
China			0.0%	0.0%	0.0%	0.0%	0.1%	0.2%	0.3%	0.4%	0.7%
Other EM			0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%
Eldercare & Personal Care											
US			0.0%	0.1%	0.1%	0.3%	0.4%	0.4%	0.5%	0.6%	1.9%
Dev ex-US			0.0%	0.1%	0.1%	0.3%	0.4%	0.4%	0.5%	0.6%	1.9%
China			0.0%	0.0%	0.0%	0.1%	0.2%	0.2%	0.2%	0.3%	0.9%
Other EM			0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.1%	0.1%	0.4%
Other B2B											
US			0.2%	0.5%	0.6%	1.1%	1.3%	1.6%	1.9%	2.3%	3.3%
Dev ex-US			0.2%	0.5%	0.6%	1.1%	1.3%	1.6%	1.9%	2.3%	3.3%
China			0.0%	0.1%	0.1%	0.3%	0.5%	0.6%	0.7%	0.9%	1.3%
Other EM			0.0%	0.0%	0.0%	0.0%	0.1%	0.2%	0.4%	0.5%	0.7%

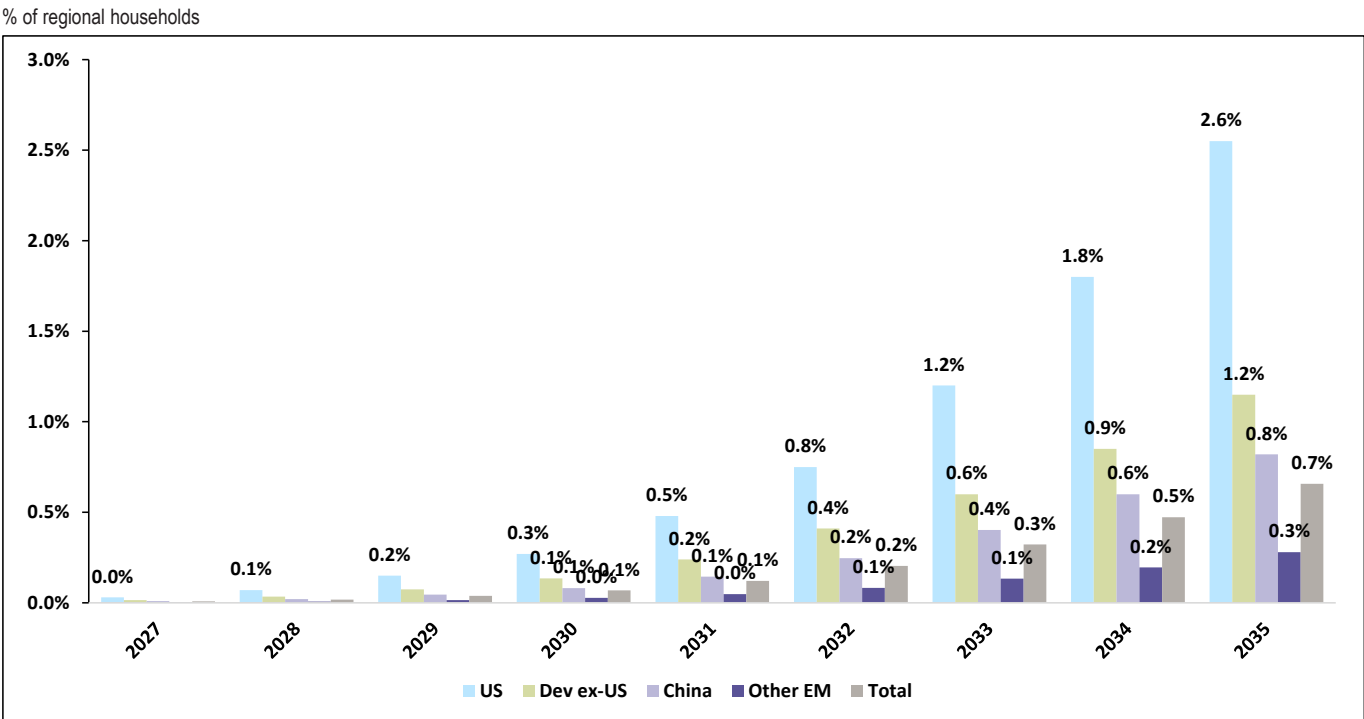
Source: J.P. Morgan estimates.

Figure 25: JPMe Overall Global B2B Humanoid Sales/RaaS Projections



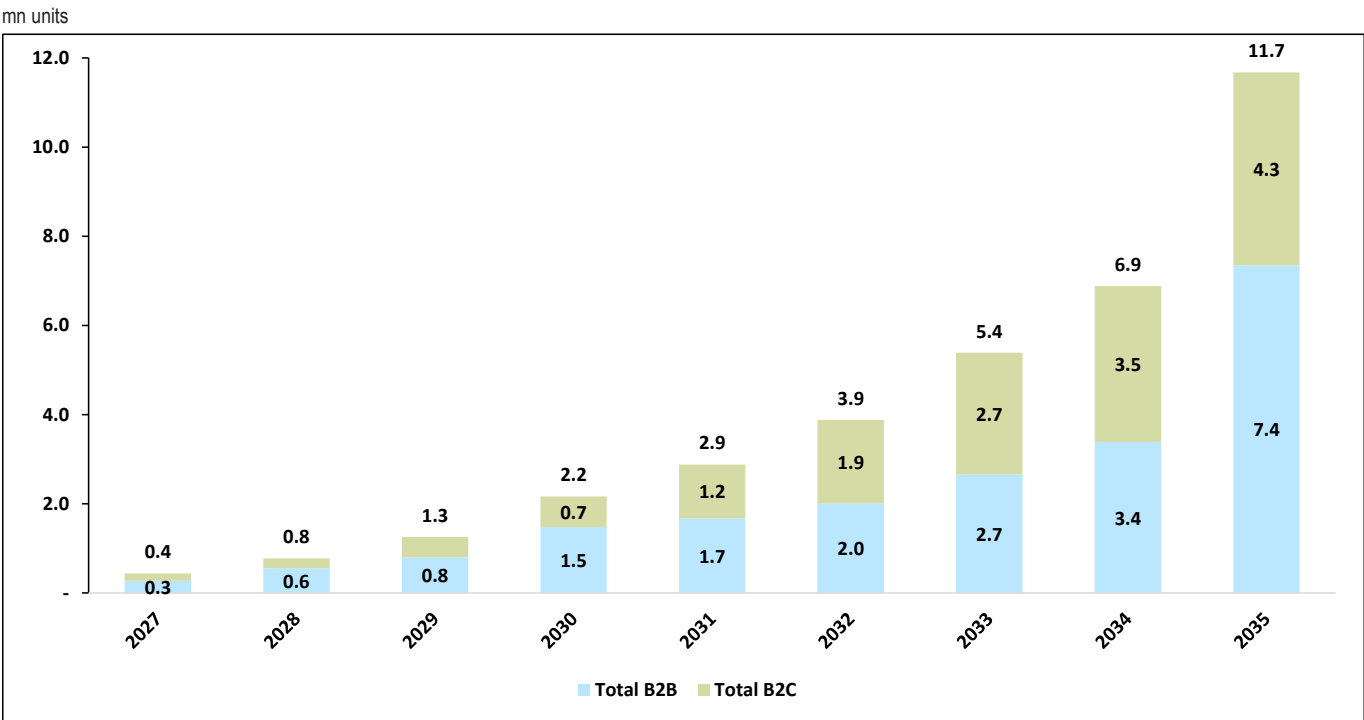
Source: J.P. Morgan estimates.

Figure 26: JPMe Global Consumer Household Humanoid Adoption Curves



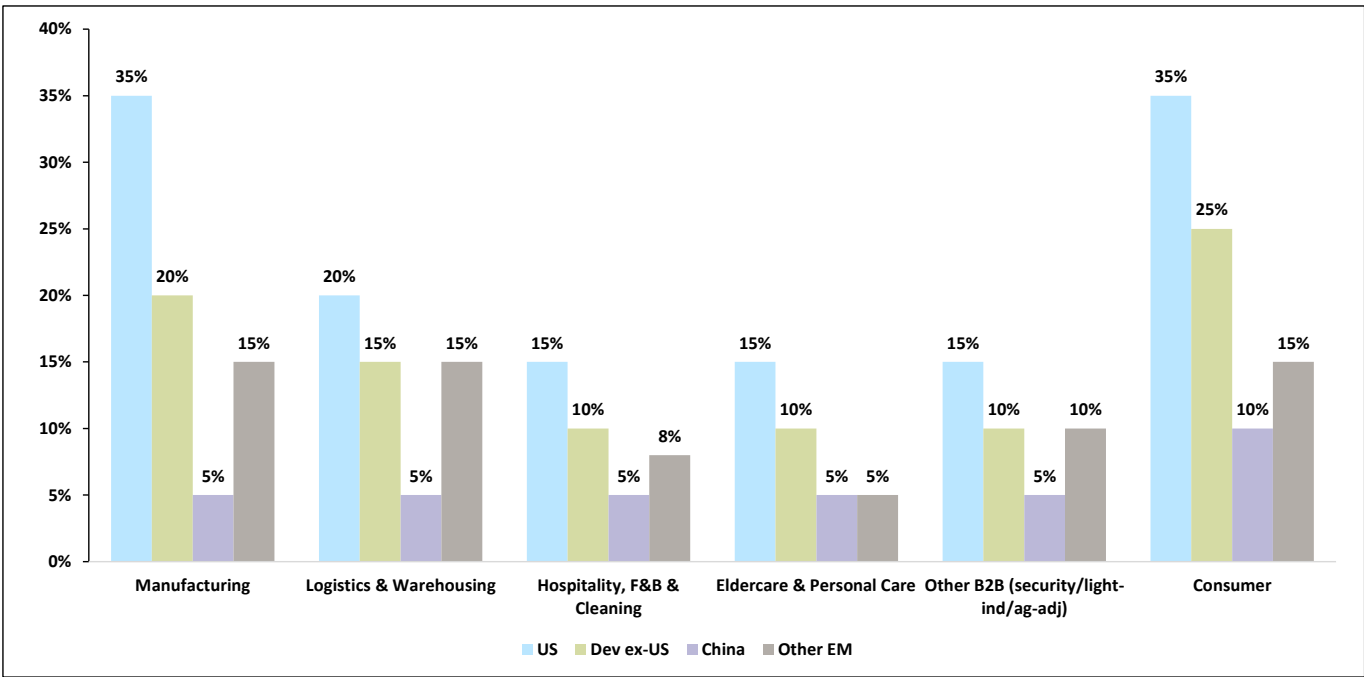
Source: J.P. Morgan estimates.

Figure 27: JPMe Overall B2B + B2C Humanoid Sales/RaaS Projections



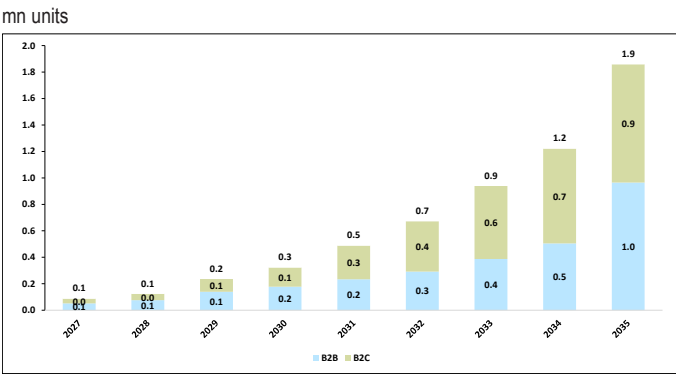
Source: J.P. Morgan estimates.

Figure 28: JPMe TSLA Humanoid Industry Market Share Assumptions



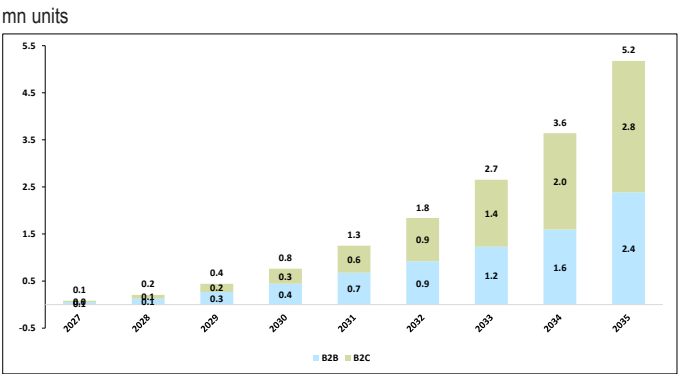
Source: J.P. Morgan estimates.

Figure 29: JPMe TSLA B2C + B2B Humanoid Sales



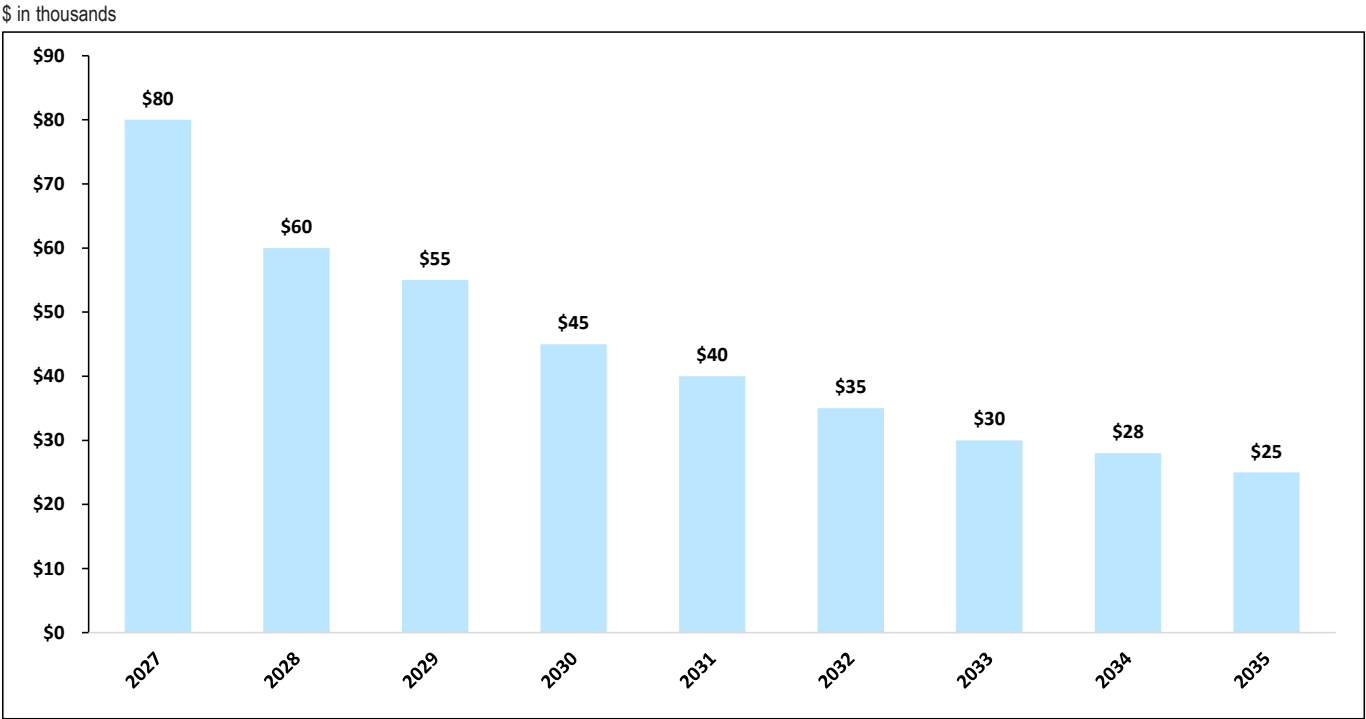
Source: J.P. Morgan estimates.

Figure 30: JPMe TSLA B2C + B2B Humanoid Fleet



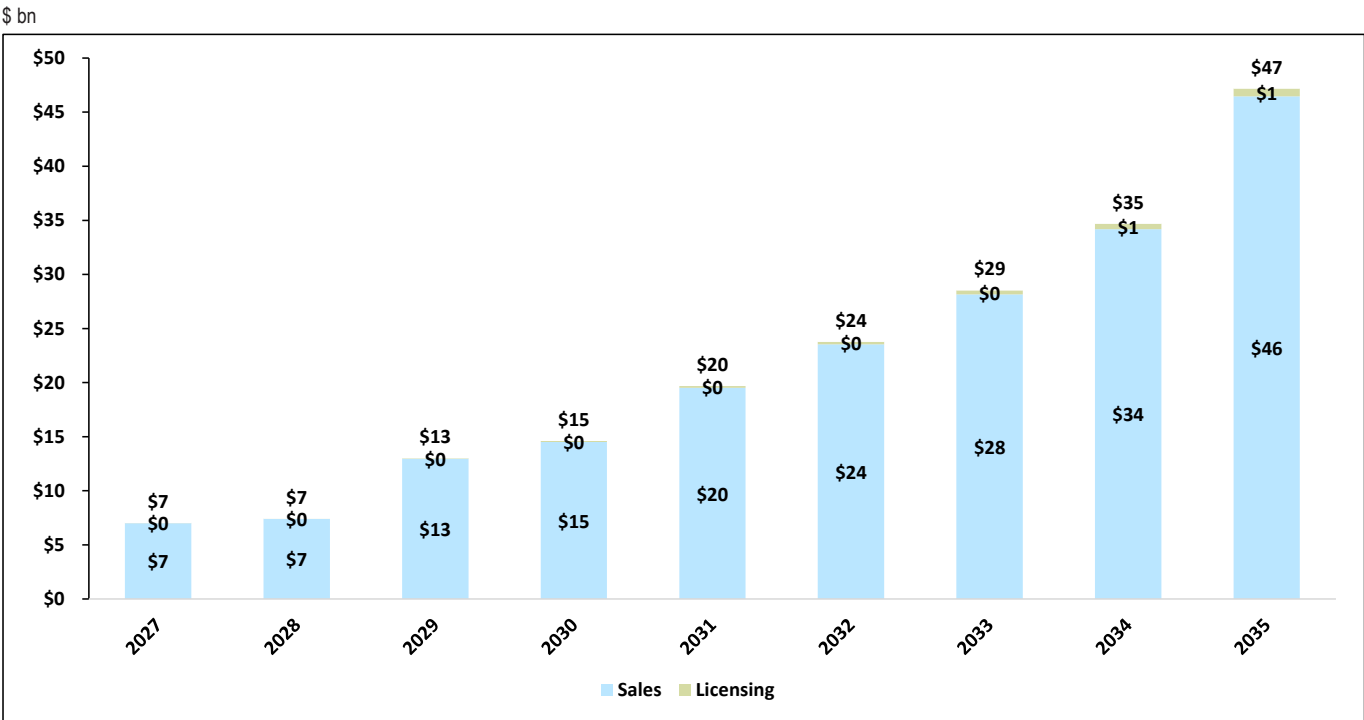
Source: J.P. Morgan estimates.

Figure 31: JPMe TSLA Humanoid ASP Projections



Source: J.P. Morgan estimates.

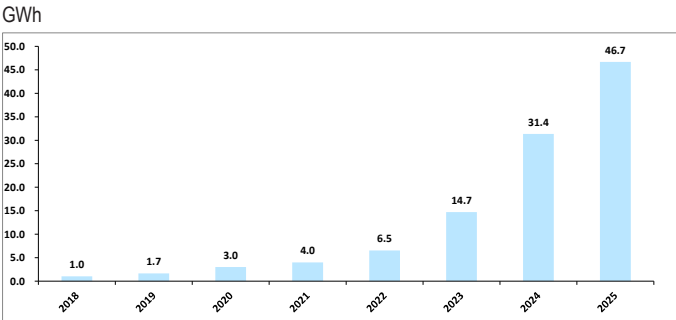
Figure 32: JPMe TSLA Humanoid Sale + Licensing Revenue Projections



Source: J.P. Morgan estimates.

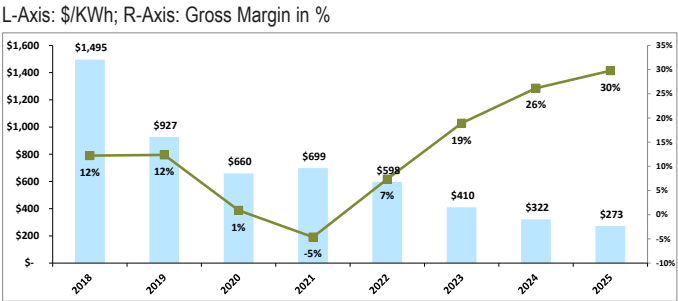
Charts: Energy Storage TAM

Figure 33: TSLA Energy Storage Deployed (GWh)



Source: Company reports.

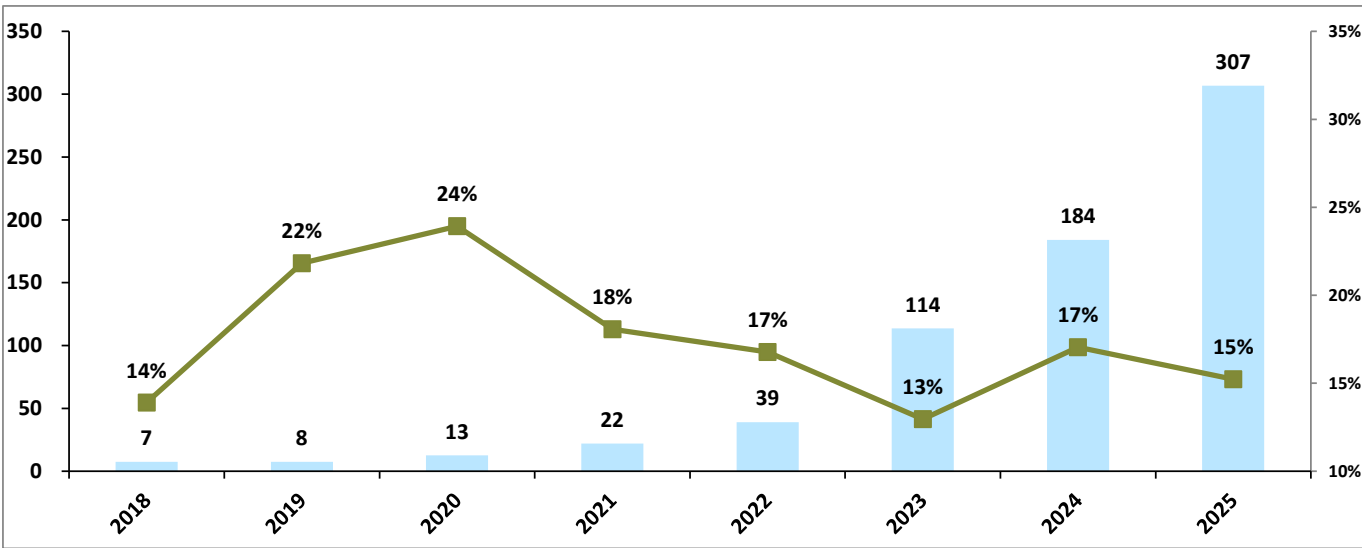
Figure 34: TSLA Energy ASP (\$/KWh) & Gross Margin (%)



Source: Company reports.

Figure 35: TSLA Global Market Share (%)

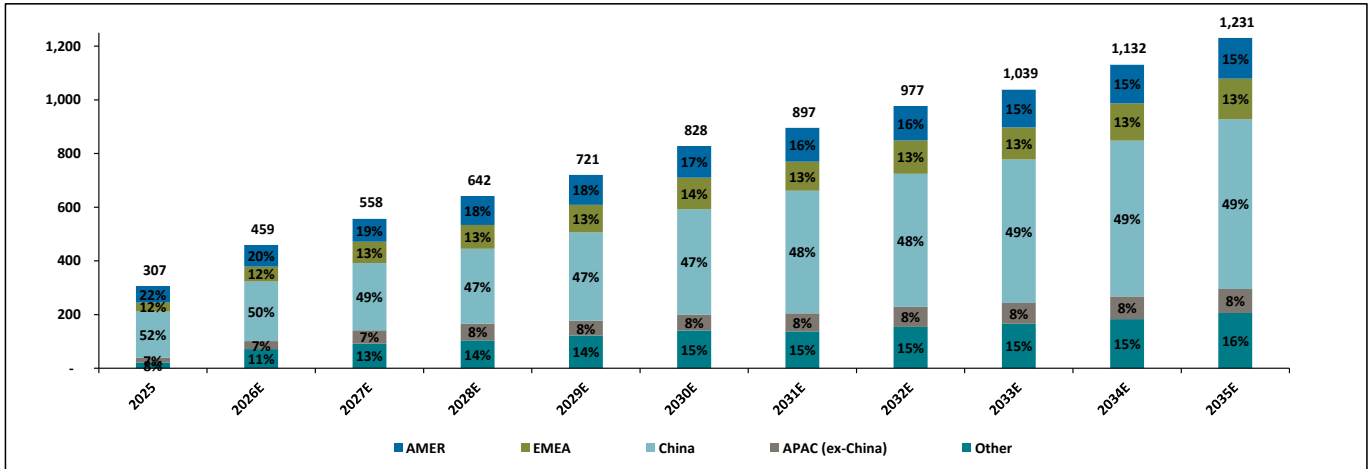
L-Axis: Global Annual Capacity Deployed (GWh); R-Axis: TSLA % global market share



Source: Company reports, Bloomberg NEF.

Figure 36: Battery Energy Storage Annual Capacity Additions Across Regions

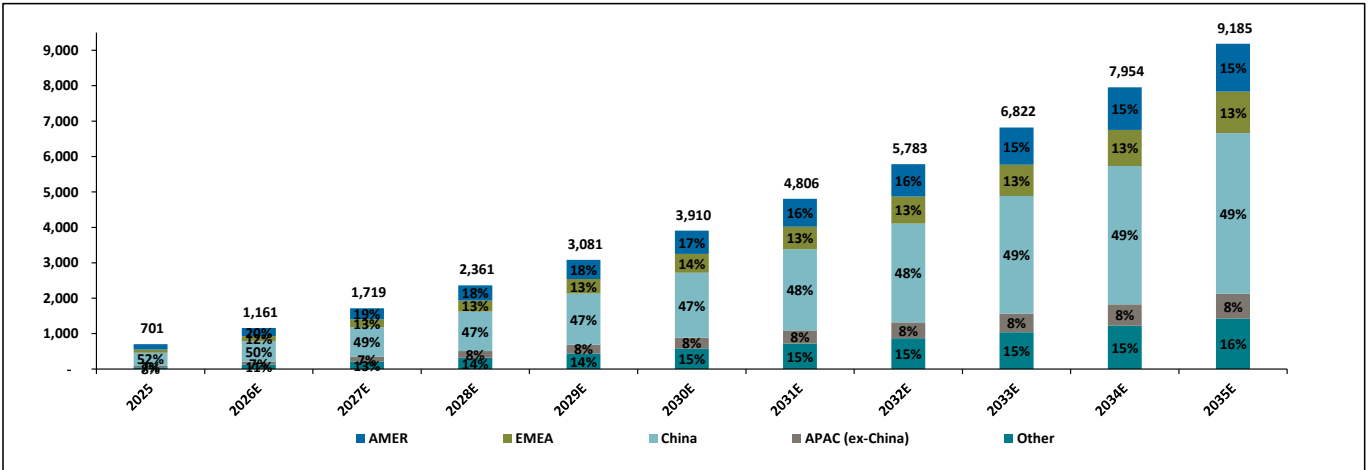
GWh



Source: Bloomberg NEF.

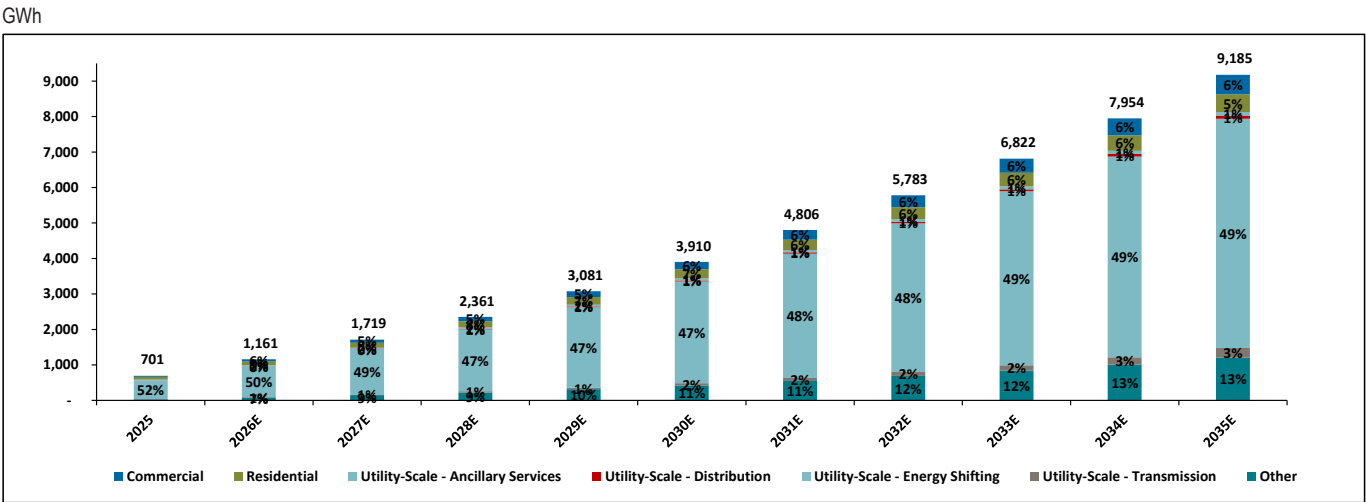
Figure 37: Battery Energy Storage Cumulative Capacity Across Regions

GWh



Source: Bloomberg NEF.

Figure 38: Battery Energy Storage Cumulative Capacity Across End Markets



Source: Bloomberg NEF.

Summary Model

Table 10: TSLA Summary Model

\$ million, excluding operating metrics

Summary P&L	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
Automotive Revenues	20,821	27,236	47,232	71,462	82,419	77,070	69,526	16,234	20,516	21,634	19,374	77,758	82,019	90,822	99,565	107,250
Service Revenues	2,226	2,306	3,802	6,091	8,319	10,534	12,530	3,745	4,581	5,039	4,888	18,253	24,866	35,549	53,323	80,358
Solar and Energy Storage Revenues	1,531	1,994	2,789	3,909	6,035	10,086	12,771	2,408	3,139	3,893	4,374	13,814	16,435	18,735	20,468	22,362
Total Revenues	24,578	31,536	53,823	81,462	96,773	97,690	94,827	22,387	28,236	30,566	28,636	109,825	123,319	145,106	173,356	209,970
Total COGS	20,509	24,906	40,217	60,609	79,113	80,240	77,733	17,667	23,485	25,222	23,565	89,939	100,068	115,335	135,124	157,692
Total Gross Profit	4,069	6,630	13,606	20,853	17,660	17,450	17,094	4,720	4,751	5,343	5,072	19,886	23,251	29,771	38,232	52,277
Gross Margin	17%	21%	25%	26%	18%	18%	18%	21%	17%	17%	18%	18%	19%	21%	22%	25%
Research and Development	1,343	1,491	2,593	3,075	3,969	4,540	6,411	1,946	2,371	2,550	2,650	9,517	11,600	13,200	14,300	14,600
SG&A	2,646	3,145	4,517	3,946	4,800	5,150	5,834	1,833	1,982	2,100	2,200	8,115	9,100	9,900	10,400	10,150
Operating income/(loss)	-69	1,994	6,523	13,656	8,891	7,076	4,355	941	398	693	222	2,254	2,551	6,671	13,532	27,527
Total EBIT Margin	0%	6%	12%	17%	9%	7%	5%	4%	1%	2%	1%	2%	2%	5%	8%	13%
Interest Income/(expense)	-640	-718	-315	106	910	1,219	1,342	342	341	342	280	1,305	580	80	80	160
Other (loss)/gain	45	(122)	135	(43)	172	695	(419)	(535)	590	0	0	55	0	0	0	0
Pre-tax Income/(loss)	(665)	1,154	6,343	13,719	9,973	8,990	5,278	748	1,329	1,035	502	3,614	3,131	6,751	13,612	27,687
Add: Non-cash Stock Based Compensation	898	1,734	2,121	1,560	1,812	1,328	2,012	803	989	978	978	3,747	3,910	4,106	4,311	4,526
Non-GAAP Net Income	36	2,424	7,640	14,116	10,882	8,419	5,858	1,453	1,155	1,744	1,341	5,694	6,184	9,097	14,528	25,218
Weighted average number of shares - Diluted	901	3,194	3,383	3,470	3,483	3,495	3,526	3,538	3,540	3,548	3,573	3,550	3,636	3,717	3,773	3,823
Non-GAAP Diluted EPS	\$0.04	\$0.76	\$2.26	\$4.07	\$3.12	\$2.41	\$1.66	\$0.41	\$0.33	\$0.49	\$0.38	\$1.60	\$1.70	\$2.45	\$3.85	\$6.60
Summary of Free Cash Flows	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
GAAP Net Income/(loss)	(775)	862	5,644	12,587	14,974	7,153	3,855	491	1,128	767	364	2,750	2,274	4,992	10,217	20,692
Depreciation & Amortization	2,154	2,322	2,911	3,747	4,667	5,368	6,148	1,590	1,619	1,750	1,850	6,809	8,200	9,300	10,100	10,900
Stock-based compensation	898	1,734	2,121	1,560	1,812	1,999	2,825	1,030	1,151	1,150	1,150	4,481	4,600	4,830	5,072	5,325
Change in working capital	(698)	368	1,036	(7,816)	(17,194)	2,232	6,468	(29,358)	(16,078)	2,232	6,468	4,558	5,006	766	(5,106)	(11,256)
Change in collateralized lease borrowing	(389)	(240)	(9)	0	0	0	0	0	0	0	0	0	0	0	0	0
Cash flow from operations	2,016	5,703	11,488	14,724	13,256	14,923	14,747	3,937	4,697	1,844	2,577	13,055	12,568	16,630	21,269	32,798
Capital Expenditure	(1,327)	(3,157)	(6,482)	(7,158)	(8,898)	(11,339)	(8,527)	(2,493)	(5,789)	(7,000)	(8,000)	(23,282)	(24,000)	(25,000)	(25,000)	(23,000)
Free Cash Flow (FCF)	689	2,546	5,006	7,566	4,358	3,584	6,220	1,444	(1,092)	(5,156)	(5,423)	(10,227)	(11,432)	(8,370)	(3,731)	9,798
Summary of Balance Sheet Data	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
Gross Debt	13,419	11,688	6,837	3,099	5,230	8,213	6,736	7,782	7,924	7,924	12,924	12,924	32,924	37,924	37,924	32,924
Gross Cash (including short-term investments)	6,514	19,622	17,707	22,185	29,094	36,563	44,059	44,743	43,524	38,368	37,945	37,945	46,513	43,143	39,412	44,210
Net Debt	6,905	(7,934)	(10,870)	(19,086)	(23,864)	(28,350)	(37,323)	(36,961)	(35,600)	(30,444)	(25,021)	(25,021)	(13,589)	(5,219)	(1,488)	(11,286)
Operating Metrics	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E
Total Deliveries (000 units)	368	500	936	1,314	1,809	1,789	1,636	358	480	517	461	1,815	1,933	2,128	2,341	2,515
Energy Storage Deployments (GWh)	2	3	4	7	15	31	47	9	14	15	17	54	68	81	94	108
Automotive Gross Margin ex-Reg Credits (%)	19%	21%	27%	27%	18%	15%	15%	19%	16%	17%	17%	17%	18%	20%	21%	22%

Source: Company reports and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Tesla Inc (Neutral; Price Target: \$445.00)

Investment Thesis

TSLA sits at the forefront of physical AI entering uncharted TAMs where execution will be key to accelerating adoption and expanding those TAMs (the Jevons paradox). Its under-appreciated edge is deep vertical integration across hardware + software, paired with speed of technology development: using factories as a test bed for Optimus should lower auto COGS and validate Humanoids at industrial scale (US/Global TAM of ~5 mn/30 mn by 2040E), a flywheel analogous to AWS/Kiva at AMZN. In robotaxi, >10 bn miles recorded and 9 mn personal fleet on road today should drive network-effects across robotaxi and FSD adoption (35 mn personal TSLA fleet and 40 mn robotaxis by 2040E), while Energy Storage benefits from data center and grid tailwinds, and the base infrastructure can be monetized via FSD/Optimus licensing, distributed inference, Cortex compute, and supercharger usage. We see EPS inflection in 2028+ and a 50%+ growth CAGR through 2030 and beyond, with implied SoTP of \$3.9T by 2035E. Valuation on near-term earnings is clearly lofty, but we think TSLA deserves the benefit of the doubt on LT earnings given new TAMs are unlikely to inflect until 2029+, with shares in the interim likely tied to robotaxi/Optimus data points and potential index diversification offering a better entry point, in our view.

Valuation

We remain Neutral and lower our Dec 2027 PT to \$445 from \$475 prior. We use a weighted average of P/E-based approach (on 2030E EPS) and SoTP on 2035E, both discounted back. For P/E, we apply a ~75x multiple on 2030E EPS as the forecast margin and revenue near an inflection with potential for 50%+ EPS CAGR for several years. On SoTP, we value individual TAMs separately, applying a higher EV/revenue multiple to new and high-margin TAMs and more mature multiples to existing ones. As such, we arrive at a blended ~5.0x EV/revenue multiple on estimated 2035 revenue.

TSLA Implied Value/Share

\$ per share

JPM Implied Value/Share	Weightage	Value
SoTP Based	50%	\$496
<u>P/E Based</u>	50%	<u>\$394</u>
Total		\$445

Source: J.P. Morgan estimates.

TSLA SoTP Valuation Analysis

\$ billion

Segment SoTP	Revenue (\$ bn, 2035)	EV/Revenue	EV (\$ bn)	Valuation Benchmarks
Automotive	241	2.0x	469	<<Global peer average, adjusted for growth and margin levers
Energy storage	31	2.5x	77	<<Median average of global peers + cost advantage, cell IP
Robotaxi	319	5.0x	1578	<<Premium to Uber/Lyft due to cost and Vertical integration advantage
FSD Subscription	21	12.5x	258	<<High-margin SaaS
Optimus (Humanoid Robotics)	47	15.0x	705	<<Few public comps, large TAM, SaaS component, licensing
Other Licensing (FSD, Inference, AI Compute)	80	10.0x	797	<<Cloud/compute offering, high margin, high ROIC
Total	738	5.3x	3885	
Discount Rate			12%	
Discounted 2027-end			1757	
Net Cash/(Debt) 2027-end			14	
Equity Value			1771	
Implied Value/Share			\$496	

Source: J.P. Morgan estimates.

TSLA P/E Based Valuation Analysis

\$ million, excluding share count, valuation multiples and EPS

Price-to-Earnings-based Analysis	2026E	2027E	2028E	2029E	2030E	Comment
EPS	\$1.60	\$1.70	\$2.45	\$3.85	\$6.60	
JPM P/E Multiple					75.0x	<< 50%+ EPS CAGR, growth adjusted P/E
Implied Value/Share					\$495	
Discounted 2027-end					\$394	
Current Value per Share					\$374	
Upside vs. Current					5%	
Memo:						
(-) Net Cash/(Debt), inc. ST Investments	37,323	25,021	13,589	5,219	1,488	
Equity Value	1,323,621	1,336,338	1,373,739	1,392,439	1,411,140	
Enterprise Value	1,286,298	1,311,317	1,360,150	1,387,220	1,409,651	
Diluted Share Count	3,539	3,573	3,673	3,723	3,773	
JPM EBITDAP	9,063	10,751	15,971	23,632	38,427	
EV/EBITDAP	141.9x	122.0x	85.2x	58.7x	36.7x	<< Based on current price
Sales	109,825	123,319	145,106	173,356	209,970	
EV/Sales	11.7x	10.6x	9.4x	8.0x	6.7x	<< Based on current price

Source: Bloomberg Finance L.P., company reports, and J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks include: (1) Recent uptick in gas prices could drive a greater than expected increase in industry BEV demand; (2) faster than expected FSD adoption as safety metrics improve; (3) faster than expected deployment of Optimus in factories that could drive a faster reduction in COGS and also accelerate commercial adoption; (4) favorable regulatory backdrop that could drive a faster rollout of robotaxi than expected; (5) faster than expected leverage on R&D spend as robotaxi and Optimus deployment ramps.

Downside risks include: (1) Further deterioration in brand perception given CEO's involvement in politics; (2) execution risks tied to launch of Optimus and pace of safety progress for robotaxis; (3) slower than anticipated regulatory approvals for robotaxis; (4) near-term retail and institutional shareholder diversification due to large anticipated AI-related IPOs; (5) competitors iterate at a faster pace across all product lines; (6) near-term EPS revision risk from higher D&A tied to ramped-up capex and spending on Optimus/robotaxi roll-out; (7) key man risk – TSLA would be a fundamentally different company without Mr. Musk as the valuation reflects his strategic leadership and distinctive execution capability.

Tesla Inc: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	97,690	94,827	109,825	123,319	145,106	Revenue	22,387A	28,236A	30,566	28,636	
COGS	(74,872)	(71,585)	(83,130)	(91,868)	(106,035)	COGS	(16,077)A	(21,866)A	(23,472)	(21,715)	
Gross profit	17,450	17,094	19,886	23,251	29,771	Gross profit	4,720A	4,751A	5,343	5,072	
SG&A	(5,150)	(5,834)	(8,115)	(9,100)	(9,900)	SG&A	(1,833)A	(1,982)A	(2,100)	(2,200)	
Adj. EBITDA	12,444	10,503	9,063	10,751	15,971	Adj. EBITDA	2,531A	2,017A	2,443	2,072	
D&A	(5,368)	(6,148)	(6,809)	(8,200)	(9,300)	D&A	(1,590)A	(1,619)A	(1,750)	(1,850)	
Adj. EBIT	7,076	4,355	2,254	2,551	6,671	Adj. EBIT	941A	398A	693	222	
Net Interest	1,219	1,342	1,305	580	80	Net Interest	342A	341A	342	280	
Adj. PBT	8,990	5,278	3,614	3,131	6,751	Adj. PBT	748A	1,329A	1,035	502	
Tax	(1,837)	(1,423)	(835)	(797)	(1,699)	Tax	(257)A	(201)A	(254)	(123)	
Minority Interest	(62)	(61)	(56)	(60)	(60)	Minority Interest	(14)A	(12)A	(15)	(15)	
Adj. Net Income	8,419	5,858	5,694	6,184	9,097	Adj. Net Income	1,453A	1,155A	1,744	1,341	
Reported EPS	2.41	1.66	1.60	1.70	2.45	Reported EPS	0.41A	0.33A	0.49	0.38	
Adj. EPS	2.41	1.66	1.60	1.70	2.45	Adj. EPS	0.41A	0.33A	0.49	0.38	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	3,495	3,526	3,550	3,636	3,717	Shares outstanding	3,538A	3,540A	3,548	3,573	
Balance Sheet & CashFlow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	16,139	16,513	10,399	18,967	15,597	Gross margin	17.9%	18.0%	18.1%	18.9%	20.5%
Accounts receivable	4,418	4,576	4,393	4,933	5,804	EBITDA margin	12.7%	11.1%	8.3%	8.7%	11.0%
Inventories	12,017	12,392	15,290	15,010	17,300	EBIT margin	7.2%	4.6%	2.1%	2.1%	4.6%
Other current assets	25,292	35,161	33,586	34,205	35,382	Net profit margin	8.6%	6.2%	5.2%	5.0%	6.3%
Current assets	57,866	68,642	63,668	73,115	74,083	ROE	12.3%	7.5%	6.6%	6.6%	8.9%
PP&E	35,836	40,643	58,655	74,455	90,155	ROA	7.4%	4.5%	3.9%	3.6%	4.7%
LT investments	-	-	-	-	-	ROCE	7.5%	3.7%	1.8%	1.6%	3.6%
Other non current assets	28,368	28,521	34,233	37,742	41,559	SG&A/Sales	5.3%	6.2%	7.4%	7.4%	6.8%
Total assets	122,070	137,806	156,555	185,312	205,798	Net debt/equity	NM	NM	0.0	0.1	0.2
Short term borrowings	-	-	-	-	-	Net debt/EBITDA	NM	NM	0.3	1.3	1.4
Payables	22,204	26,650	30,181	32,063	37,728	P/E (x)	155.3	225.1	233.2	219.9	152.8
Other short term liabilities	0	0	0	0	0	P/BV (x)	17.7	15.9	14.6	13.9	12.9
Current liabilities	22,204	26,650	30,181	32,063	37,728	EV/EBITDA (x)	112.2	132.8	155.3	132.0	89.4
Long-term debt	8,213	6,736	12,924	32,924	37,924	Dividend Yield	-	-	-	-	-
Other long term liabilities	17,973	21,555	22,501	22,501	22,501	Sales/Assets (x)	0.9	0.7	0.7	0.7	0.7
Total liabilities	48,390	54,941	65,606	87,488	98,153	Interest cover (x)	-	-	-	-	-
Shareholders' equity	73,680	82,865	90,950	97,824	107,645	Operating leverage	(2154.3%)	1312.1%	(305.0%)	107.1%	914.2%
Minority interests	-	-	-	-	-	Revenue y/y Growth	0.9%	(2.9%)	15.8%	12.3%	17.7%
Total liabilities & equity	122,070	137,806	156,555	185,312	205,798	EBITDA y/y Growth	(8.2%)	(15.6%)	(13.7%)	18.6%	48.6%
Net debt/(cash)	(7,926)	(9,777)	2,525	13,957	22,327	Tax rate	20.4%	27.0%	23.1%	25.5%	25.2%
Cash flow from operating activities	14,923	14,747	13,055	12,568	16,630	Adj. Net Income y/y Growth	(22.6%)	(30.4%)	(2.8%)	8.6%	47.1%
o/w Depreciation & amortization	5,368	6,148	6,809	8,200	9,300	EPS y/y Growth	NM	NM	NM	6.1%	43.9%
o/w Changes in working capital	-	-	-	-	-	DPS y/y Growth	-	-	-	-	-
Cash flow from investing activities	(34,762)	(15,478)	(23,949)	(24,000)	(25,000)						
o/w Capital expenditure	(11,339)	(8,527)	(23,282)	(24,000)	(25,000)						
as % of sales	11.6%	9.0%	21.2%	19.5%	17.2%						
Cash flow from financing activities	0	0	0	0	0						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	0	0	5,000	20,000	5,000						
o/w Share Repurchases	-	-	-	-	-						
Net change in cash	(19,839)	(731)	(10,894)	(11,432)	(8,370)						
Adj. Free cash flow to firm	4,554	7,200	(9,223)	(11,000)	(8,310)						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Tesla Inc (TSLA, TSLA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
03-Oct-23	UW	251.60	135
26-Jan-24	UW	182.63	130
03-Apr-24	UW	166.63	115
03-Oct-24	UW	249.02	130
24-Oct-24	UW	213.65	135
12-Mar-25	UW	230.58	120
23-Apr-25	UW	237.97	115
03-Oct-25	UW	436.00	150
29-Jan-26	UW	431.46	145
05-Jun-26	N	418.45	475

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 09, 2010. All share prices are as of market close on the previous business day.

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IB clients**	83%	80%	73%
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